

2014

**ANNUAL
REPORT**

2015



Queensland
Government

QRAA Annual Report 2014-15

Welcome

Welcome to the QRAA Annual Report for 2014-15.

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries and Minister for Sport and Racing.

We provide specialist financial administrative services to the Queensland Government, Australian Government and state and territory governments throughout Australia.

This report provides an overview of QRAA's activities, achievements, performance and financial position for the 2014-15 financial year.

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Interpreter service statement

The Queensland Government is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. If you have difficulty in understanding the Annual Report, you can contact us on Freecall 1800 623 946 and we will arrange an interpreter to effectively communicate the report to you.

Public availability and feedback

A copy of this Annual Report and a checklist outlining the annual reporting requirements can be accessed at www.qraa.qld.gov.au/about-qraa/publications/annual-report.

To provide feedback on this report, please contact us:

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Brisbane QLD 4001

To the Minister

16 September 2015

The Honourable Mr Bill Byrne MP
Minister for Agriculture and Fisheries
and Minister for Sport and Racing
GPO Box 46
Brisbane QLD 4001

Dear Minister

I am pleased to present the Annual Report 2014-2015 and financial statements for QRAA.

I certify that this Annual Report complies with:

- the prescribed requirements of the *Rural and Regional Adjustment Act 1994* (Qld) and the *Financial Accountability Act 2009* (Qld) and the *Financial and Performance Management Standard 2009* (Qld), and
- the detailed requirements set out in the *Annual report requirements for Queensland Government agencies*.

A checklist outlining the annual reporting requirements can be found at page 52 of this Annual Report or accessed at www.qraa.qld.gov.au/about-qraa/publications/annual-report.

Yours sincerely

Wayne Carlson
Chairperson

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Our year in review

Chairperson's and Chief Executive Officer's report

Highlights

QRAA celebrated its twentieth anniversary as a State Government statutory authority during 2014-15.

Since commencing operations on 1 October 1994, QRAA has approved more than 151,000 applications and \$2.9 billion in financial assistance across all programs. These figures underscore the importance of QRAA's role as a specialist administrator of government financial assistance schemes.

The 2014-15 year has seen QRAA work with a new government, Premier and Minister for Agriculture and Fisheries. Following the 2015 Queensland State Government election, QRAA has moved quickly to focus our efforts on implementing the new government direction, priorities and commitments.

As at 30 June 2015, QRAA had approved over 1,015 applications totaling more than \$154 million in financial assistance across all loan, grant and rebate schemes. This compares with approvals of over 5,600 applications totaling \$207 million in 2013-14.

Whilst approval numbers have decreased significantly compared to last year, the proportion of loans versus grants has increased by 32 per cent since 2013-14. As loans are typically more complex and require greater resources to process than grants, workloads have remained steady.

Six new fee-for-service engagements were secured in 2014-15, including one new concessional loans scheme funded by the Australian Government.

QRAA processed 98 per cent of applications within the standard response time for each scheme during 2014-15. This represents a 19 per cent improvement compared to last year.

QRAA's loan portfolio increased by over \$54 million, taking the total value of the loan book to more than \$539 million at 30 June 2015. This growth reflects continued demand for concessional loan assistance in Queensland and the Northern Territory.

Service delivery

In 2014-15, lending under the Queensland Government Primary Industry Productivity Enhancement Scheme (PIPES) could be sustained from QRAA's internal reserves. As at 30 June 2015, 162 concessional loan applications totaling more than \$51 million had been approved to support new entrants and to assist existing Queensland primary producers improve their productivity and sustainability. This compares with net approvals of 204 applications and \$72.15 million in 2013-14.

As at 30 June 2015, QRAA had approved 525 applications totaling more than \$4.68 million under the jointly funded Australian and State Government *Natural Disaster Relief and Recovery Arrangements* (NDRRA) loan and grant schemes assisting Queensland primary producers, business owners

and non-profit organisations affected by natural disasters. This was a significant decrease from net approvals of \$77.9 million in 2013-14. However, the lower level of activity was welcomed as it reflected a reduced need for natural disaster relief assistance in Queensland.

Over 160 applications totaling more than \$92.3 million were approved across the five Australian Government concessional loans schemes implemented to assist Queensland and Northern Territory producers with debt restructuring and drought recovery. These schemes closed to applications on 30 June 2015.

Financial performance

In 2014-15, QRAA achieved an operating surplus of \$24.45 million, owing largely to interest revenues on PIPES. Principal and interest recoveries from these loans are reissued as loans to primary producers under PIPES. Although QRAA has no borrowing costs for this scheme, the interest rate on PIPES is intended to be high enough to exceed credit losses and a notional cost of capital, but still lower than commercially available rates.

QRAA's borrowers are often not able to afford capital at commercial interest rates. Despite the higher risk profile of QRAA's clients, QRAA has an exceptional record of loan recovery.

QRAA prides itself on robust internal processes that are independently reviewed regularly to ensure program funds are deployed in accordance with the program owner's objectives.

The year ahead

In 2015-16 it is expected that QRAA's fee for service revenue levels will be sustained with the Australian Government announcing plans to extend their drought related concessional loans schemes.

QRAA will continue to invest in people, processes and systems to support business capability, service excellence and business sustainability and progress its vision of being the preferred provider of government financial assistance programs.

In closing, on behalf of the QRAA Board and all staff, we thank Colin Holden, who retired on 14 August 2015, following 15 years as Chief Executive Officer and 28 years of service to QRAA.



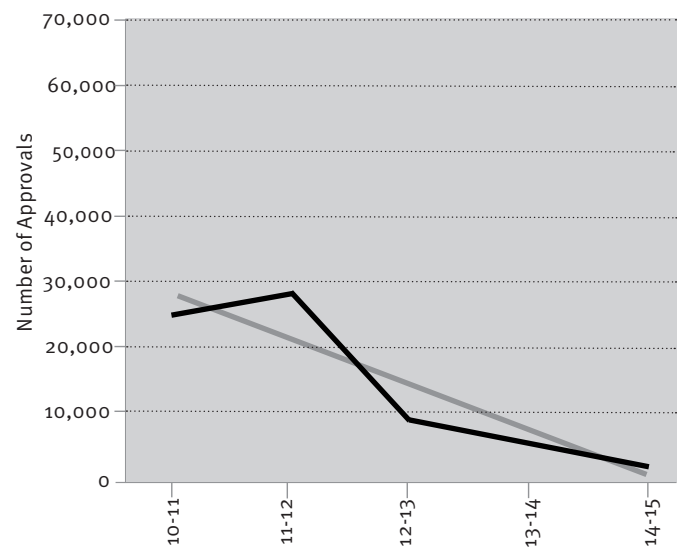
Wayne Carlson
Chairperson



Cameron MacMillan
Chief Executive Officer

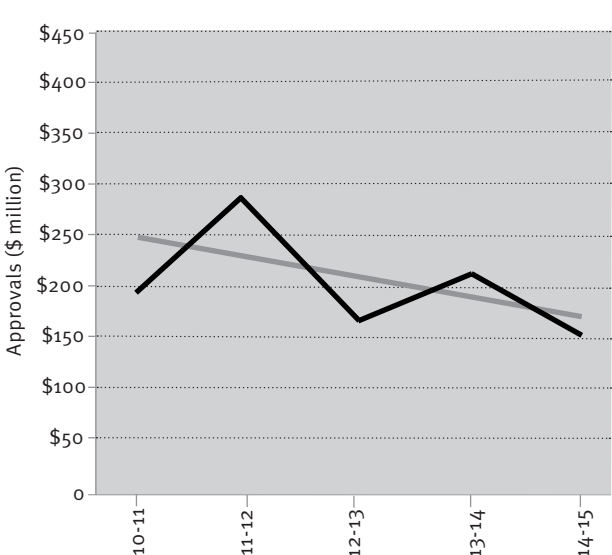
Five year snapshot

Applications approved



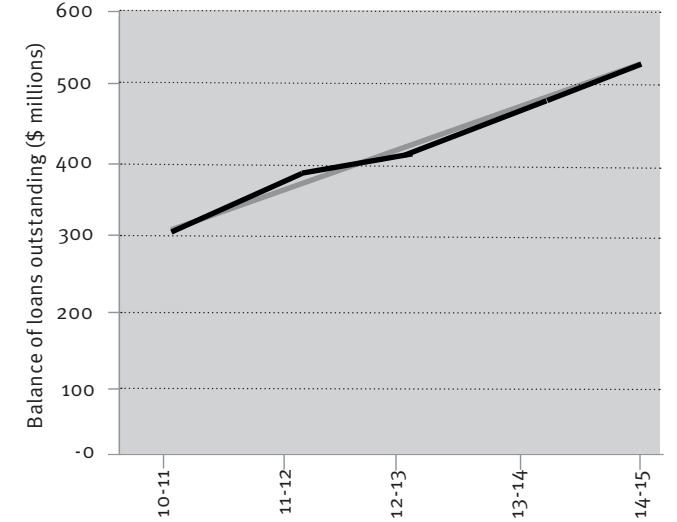
QRAA approved 1,015 applications across all financial assistance programs in 2014-15. This is representative of more usual activity, following unprecedented application volumes as a result of natural disasters and the high volume Solar Hot Water Rebate Scheme during the 2010-11 and 2011-12 periods.

Program approvals



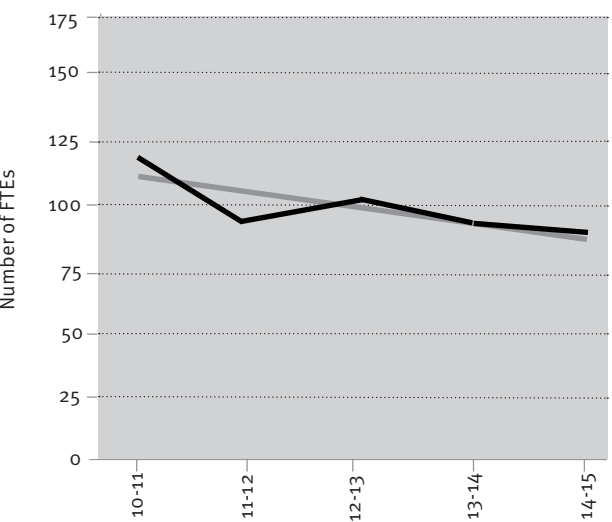
In 2014-15, QRAA approved more than \$154 million in financial assistance in the form of loans, grants and rebates.

Growth of loan portfolio



The stability of QRAA's loan portfolio highlights the continued need for concessional loan assistance by our clients.

Staffing



As at 30 June 2015, QRAA employed 83.2 full-time equivalent employees (FTE) across all business units. Temporary staff numbers vary in line with business needs. (e.g. natural disasters and new business)

— Total number — Trend line

Our organisation

About us

Who we are

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (Qld) (the Act), reporting to the Minister for Agriculture and Fisheries and Minister for Sport and Racing.

What we do

QRAA is a specialist administrator of government financial assistance programs including loans, grants, rebates and subsidies.

Through the assistance programs we administer, QRAA contributes to Queensland Government's objectives for the community by ensuring integrity, accountability and consultation in everything we do.

Our strategic direction supports the Government in creating jobs and a diverse economy, delivering frontline services, protecting the environment and building safe, caring and connected communities.

QRAA is core funded to administer PIPES and maintain capability and capacity to deliver selected assistance offered under NDRRA. All other support activities are delivered on a fee for service basis.

QRAA is also empowered under the Act to deliver additional programs and services to state and territory governments throughout Australia and for the Australian Government.

QRAA's administration services are complemented by a dedicated and responsive customer service unit which includes:

- direct access to experienced Customer Service Officers based in the Brisbane head office via the Freecall 1800 623 946 number; and
- personalised support throughout regional Queensland through our network of eight Client Liaison Officers located in Bundaberg, Innisfail, Kingaroy, Emerald, Mackay, Rockhampton, Roma and Toowoomba.

Our values

QRAA's operations are governed by its commitment to six core values:

Continual improvement

- we will develop a higher level of excellence in the delivery of high-quality, efficient, timely and responsive services.

Equity

- we ensure that our performance demonstrates transparency, fairness, consistency and professionalism.

Integrity

- we act with honesty, empathy and confidentiality in all of our dealings.

Responsibility

- we will deliver on our commitments by taking ownership and responsibility for our decisions.

Respect and recognition

- we value and acknowledge the contribution of our staff and commit to providing recognition, development and the giving and receiving of constructive feedback.

Harmony and satisfaction

- we provide a safe, equitable, harmonious and challenging work environment encouraging teamwork and creativity.

Our planning

In our strategic planning process, we take into consideration environmental scanning including strategic risks, opportunities and challenges to help identify our key strategies to support our ongoing operating environment.

Our vision



To be the preferred provider of government and other financial programs and services to their customers.

Strategic intent



To achieve self sufficiency.

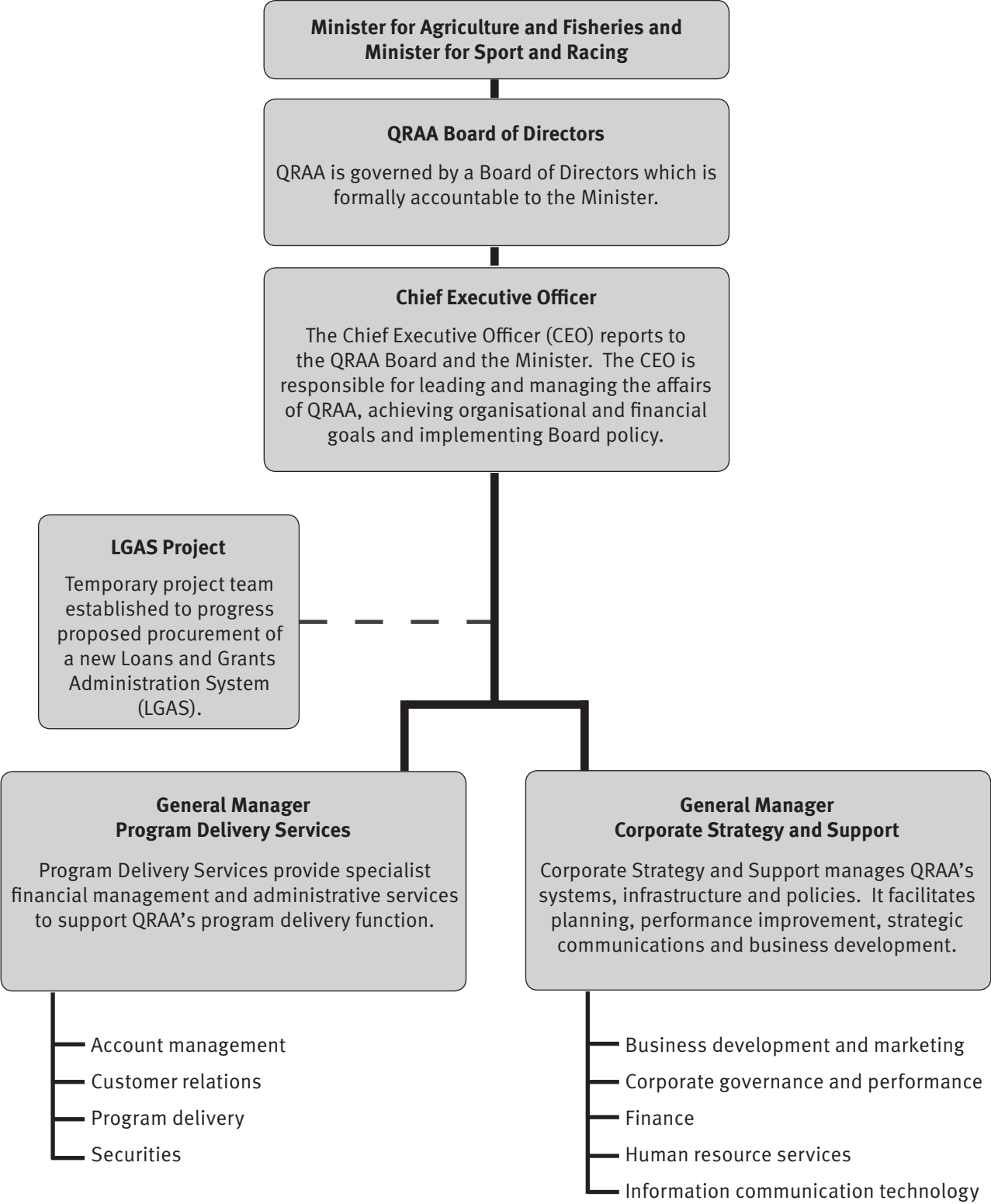
Strategic framework



QRAA's Strategic Plan 2014-18 outlined three strategic priorities that guide and support the achievement of our vision and strategic intent. These are:

1. Business sustainability
2. Service excellence
3. Business capability

Organisational structure



Corporate governance

QRAA Board of Directors

QRAA's Board of Directors (the Board) is responsible for the way QRAA performs its functions and exercises its powers as established in the *Rural and Regional Adjustment Act 1994* (Qld).

The Board consists of seven directors including representatives from Queensland industry as well as the Queensland Department of Agriculture and Fisheries (QDAF) and Queensland Treasury.

Directors are appointed for a term no longer than three years. This appointment can end at any time as directed by the Governor in Council. A director is appointed on a part-time basis and is entitled to the remuneration and allowances fixed by the Governor in Council.

The Board is formally accountable to the Minister for Agriculture and Fisheries and Minister for Sport and Racing. During 2014-15, the Board reported to the Minister on a quarterly basis.

Under the Act, the Board must meet at least once every three months. The Board met 11 times during 2014-15. Achievements of the Board in this time include:

- contributing to the development and approving the four year QRAA strategic plan
- approving 16 operational, administrative and financial policies
- ensuring QRAA performed its functions properly, effectively and efficiently
- completing the annual performance review of QRAA's CEO.

Board committees

The Board has two sub-committees that support its decision-making. These are the Audit and Risk Management (A&RM) Committee and the Remuneration Committee.

Audit and Risk Management Committee

The A&RM Committee consists of three directors with the QRAA Chairperson and QRAA CEO attending as ex-officio members. The Committee met six times during 2014-15.

The Committee undertook independent reviews during 2014-15 to improve QRAA's operations and outputs and advised the QRAA Board on:

- financial statements
- risk management
- internal controls
- performance management
- internal and external audit
- compliance
- reporting.

Remuneration Committee

The Remuneration Committee includes two directors and meets on an annual basis, with the QRAA CEO attending as an ex-officio member.

As part of the budget process, the Committee reviewed and advised the QRAA Board on the performance of senior management by means of a remuneration review.

Director	Board meetings		Audit and Risk Management Committee meetings		Remuneration Committee meetings		'Special'^ meetings	
	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended
Wayne Carlson	11	11	6*	6	1	1	2	2
Christopher Hood	11	10	-	-	-	-	2	2
Dr Elizabeth Woods**	11	9	-	-	-	-	2	1
Elton Miller**	2	2	-	-	-	-	-	-
Warwick Agnew***	11	11	6	4	-	-	2	2
Dugald Warby	11	10	6	6	-	-	2	2
Georgina Somerset	11	11	6	6	1	1	2	2
Damian Morgan	11	8	-	-	-	-	2	0

NOTES

^ 'Special' meetings refer to regional meetings held in various locations across Queensland. These meetings allow QRAA's Board members to meet with QRAA clients and stakeholders and view their operations first hand.

* Ex officio member of Audit and Risk Management Committee.

** Dr Elizabeth Woods is the delegated officer for the Director-General, Department of Agriculture and Fisheries. In September 2014 and April 2015, the Director-General, Department of Agriculture and Fisheries delegated authority to Elton Miller to attend on behalf of the Department.

*** Warwick Agnew is the delegated officer for the Under Treasurer, Queensland Treasury.

Corporate governance (cont.)

Measuring performance

Organisational performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting processes and are subject to endorsement by the Minister.

Organisational performance is monitored and reported against objectives and targets set out in QRAA's Strategic Plan.

Refer to page 12 for a summary of QRAA's 2014-15 performance.

Risk management

QRAA's risk management framework assists staff to implement risk management practices and facilitates a risk management culture.

A risk management reference group, comprised of representatives of QRAA's business units, assists and supports the Senior Executive Team (SET) and the A&RM Committee maintain an integrated risk management approach to:

- promote and further develop the risk management framework and act as risk champions to foster a culture of risk awareness and management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines
- effectively manage, monitor and review risk exposures and treatments
- promote emergency and business continuity management preparedness
- review fraud and corruption management practices and controls
- identify emerging risks and opportunities and develop appropriate action plans to manage those risks and opportunities.

Strategies that supported successful risk management in 2014-15 included:

- management of the QRAA strategic and operational risk register, incorporating the status of risk treatments (reviewed quarterly by SET, A&RM Committee and the Board)
- implementation and reinforcement of the principles of QRAA's risk management framework and risk management guidelines and tools to improve accessibility and enhance employee engagement
- conducting the annual staff risk awareness survey to measure the effectiveness of the risk management framework and its application within the organisation

- documentation of risk assessment considerations when undertaking travel
- completion of the data analytics reviews of payroll and financial loan program data and implementation of improvement strategies
- implementation of a compliance framework to monitor organisational compliance with key legislation
- annual testing of QRAA's emergency and business continuity management preparedness.

Internal audit

Deloitte Touche Tohmatsu (Deloitte) provided internal audit services during the year. This internal audit function assisted QRAA in achieving strategic goals by providing an independent review of identified areas.

The reviews undertaken in 2014-15 assisted with:

- ensuring financial assistance programs are administered appropriately
- reliability and integrity of financial, human resource, payroll and information services processing and systems
- fraud management and corruption
- information systems controls and security.

Deloitte delivered these services through the development and monitoring of an annual audit plan of reviews. All final reports were considered by the A&RM Committee.

External scrutiny

During 2014-15, QRAA responded to requests for information to support a number of external reviews as outlined below.

The Public Service Commission's Review of Statutory Appointments

- information on the legislative obligations and accountabilities of the QRAA Chief Executive Officer role was provided to support the Public Service Commission undertake a consolidated review of the range of Chief Executive Leadership positions across the Queensland public sector.

Queensland Competition Authority's Review of Industry Assistance

- review commissioned by the former Queensland Government to evaluate assistance to industry, impact of these measures on economic growth and whether they are cost effective for taxpayers. QRAA's contribution to the Department of Agriculture and Fisheries' response to this review was primarily limited

Corporate governance (cont.)

to the Queensland Government's Primary Industry Productivity Enhancement Scheme (PIPES).

Australian National Audit Office performance audit of the establishment and administration of the Farm Finance Concessional Loans and Drought Concessional Loans schemes by the Australian Government Department of Agriculture

- QRAA responded to information requests on areas such as the extent to which the Department engaged with QRAA in the design of programs; appropriateness of negotiations surrounding the Service Level Agreements, Loan Agreements and Scheme Guidelines; the level of assistance provided by the Department in relation to the implementation of the agreements and guidelines; and the appropriateness of the Department's reporting requirements and the ease with which the requirements could be met by QRAA.

Further information including the status and findings of each of these reviews are/will be available by contacting the respective responsible agency.

Ethical standards

QRAA requires all directors, managers and employees to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

The QRAA Code of Conduct requires officers to:

- act with integrity and impartiality, ensuring high standards of workplace behaviour and personal conduct
- promote the public good through excellence in customer service, community engagement and working with other agencies
- commit to the system of government through conscientious service to QRAA and Government
- act with accountability and transparency to support high standards of administration.

All new appointees to QRAA provide a statement indicating that they have read and understood the QRAA Code of Conduct. Every second year all staff acknowledge their understanding of the organisational Code of Conduct and responsibilities as an ongoing reinforcement of ethical standards. This biennial review was undertaken in June 2015.

All QRAA policies and procedures are referenced to the Code of Conduct and are made available to staff via the QRAA intranet. Internal communications support ongoing awareness, understanding and compliance.

To support the QRAA Code of Conduct and to further strengthen connectivity with the *Public Sector Ethics Act 1994* (Qld), QRAA continued to strengthen this commitment by also reviewing and enhancing policies relating to fraud and corruption practices and public interest disclosure policies.

Policy framework

During 2014-15, QRAA continued to focus on the development and review of its corporate policies and procedures in line with a three year cyclical work plan. This ensured ongoing connectivity with legislation and government directives, audit outcomes and best practice.

Policies and procedures approved by the Board and/or SET are made available on the QRAA intranet and implemented with the support of education and training, monitoring and review mechanisms.

During 2014-15, a total of 26 policies, procedures, guidelines and frameworks were developed, reviewed and approved.

Information systems and recordkeeping

Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* (Qld) and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

During 2014-15, key activities to support the ongoing achievement of compliance included:

- developing the Vital Records Plan, which is incorporated in the QRAA Emergency and Business Continuity Management Plan
- introducing the 'Paper-lite Concept' within QRAA, including the commencement of a business case for the consideration of an Electronic Document Records Management System
- continuing the ongoing planning to prepare client data for migration to the proposed Loans and Grants Administration System (LGAS).

Information and Communications Technology (ICT) review

A three year ICT Implementation Plan was developed in 2014-15 to address the ICT review. Significant transformation of ICT was commenced with a focus on service delivery. A new team structure which complements the ICT review requirements was successfully implemented. The progress of the ICT Implementation plan was reported every two months to the Information Steering Committee.

Corporate governance (cont.)

Loan and Grant Administration System (LGAS)

During 2014-15 the procurement activities for a new LGAS were progressed to ensure a robust software solution to meet the changing requirements of the organisation and provide flexibility to allow QRAA to leverage advanced technology in future endeavours.

Open data

Details of QRAA’s consultancies are published through the Queensland Government’s Open Data website (www.data.qld.gov.au).

QRAA did not engage in any overseas travel in the 2014-15 year.

QRAA is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. The Department of Immigration and Citizenship’s National Translating and Interpreting Service was utilised twice in 2014-15.

Right to information

The *Right to Information Act 2009* (Qld) (RTI Act) is the Queensland Government’s approach to providing the community with access to information controlled by the Government.

QRAA supports the principles of the RTI Act by operating in an open, transparent and accountable manner while protecting the privacy of clients and staff.

QRAA provides access to information in accordance with the legislation, as well as publishing available information on the QRAA website.

During 2014-15, QRAA received three new requests for access to information in accordance with the RTI Act. Given the nature of the information, QRAA was not required to provide a disclosures log.

Information privacy

The *Information Privacy Act 2009* (Qld) (IP Act) gives all members of the public a legally enforceable right to access and amend their personal information. The IP Act also requires QRAA to safeguard the personal information it holds and only disclose such information to the individual that the information relates to, or where consent has been provided or where required and authorised under law.

During 2014-15, QRAA did not process any requests for personal information in accordance with the IP Act. However QRAA did process two requests for information outside of the *Right to Information Act 2009* (Qld) and the IP Act in accordance with specific agency legislation, governing the provision of personal information.

Work health and safety

QRAA is committed to providing a work environment that is conducive to protecting the health, safety and well-being of QRAA workers and visitors to the workplace. QRAA is bound by the *Work Health and Safety Act 2011* (Qld) (WHS Act), *Work Health and Safety Regulation 2011* (Qld) and relevant Codes of Practice.

All staff undertook refresher training on building and evacuation processes during an emergency. New employees were informed about the WHS Act and QRAA Work Health and Safety Policies and Procedures through induction programs.

QRAA’s Human Resource Services unit has an active workplace rehabilitation and return to work system that assists injured or ill employees to return to work in mutually beneficial arrangements. In 2014-15 QRAA’s rehabilitation caseload has remained at traditionally low levels with no significant expense or lost cases under management.

To support the wellbeing of QRAA staff, influenza vaccinations were again offered to all staff prior to the onset of winter, with 55 per cent participating in the program (an increase of 9 per cent on the 2013-14 participation rate).

Significant improvements were made throughout the year to enhance the safety of QRAA staff. Improvements included strengthening of the use of travel plans and the consideration of risks when undertaking travel and the implementation of personal safety devices for the regional network of Client Liaison Officers.

QRAA workforce profile

QRAA staff provide a strong foundation for the effective administration of financial assistance programs.

QRAA’s staffing levels and resources are highly flexible and are maintained at optimal levels, appropriate to business need.

As at 30 June 2015, QRAA employed 83.2 full-time equivalent (FTE) staff, a negligible change from the 2014-15 budget of 84 FTE staff. The breakdown of staff numbers is as follows:

QRAA employees by employment type (as at 30 June 2015)

	2013-14	2014-15	MOVEMENT
Permanent	65.4	68.8	↑
Temporary	24.4	14	↓
Casual	0	0.4	↑
Total (FTE)	89.8	83.2	↓

QRAA workforce profile (cont.)

QRAA employees (as at 30 June 2015)

	2013-14	2014-15	MOVEMENT
Management (Ao7 and above)	15	15	-
Professional (Ao5/6/7)	58.1	48	↓
Administrative (to Ao4)	16.7	20.2	↑
Total (FTE)	89.8	83.2	↓

There was no reduction in QRAA permanent FTE in 2014-15. QRAA's permanent officer retention rate for 2014-15 was 93.4 per cent. The permanent officer separation rate for this period was 6.6 per cent.

Recruitment

Minimal permanent officer turnover occurred. External recruitment activity in 2014-15 related to new temporary service delivery including administration of NDRRA assistance programs.

The voluntary turnover rate was 6.22 per cent, down from 7.55 percent from the previous year. This is an extremely good result.

The organisation continued to use QRAA's Employee Value Proposition to promote the benefits of working for QRAA.

Professional development

In 2014-15, many staff undertook formal studies in finance, accounting, management and project management. Others participated in a range of professional and personal development activities including computer training, job specific (technical training), marketing and resilience training.

QRAA's leadership team completed a six day 'Managers to Leaders' training program conducted by the Australian Institute of Management (AIM) during 2014-15. The program provided valuable learnings for all managers and as result, QRAA's leadership group has committed to using the information learnt in training to support ongoing leadership development at the individual, team and organisational level.

Following the success of this training program, similar training for middle-management and/or emerging leaders is being considered in 2015-16.

Performance and development plans

QRAA's staff Performance and Development Plan (PDP) process commences in July each year. During 2014-15 each employee, together with their team leader or manager, developed a PDP in line with QRAA's Strategic Plan and Operational Plans. The process placed emphasis on matching employee training and development to business requirements and QRAA's strategic direction.

Industrial and employee relations

QRAA participated in the award modernisation process that was undertaken by the Queensland Industrial Relations Commission.

QRAA's consultative employee relations frameworks provided a mechanism to successfully address any employee concerns. No formal concerns or grievances were received during the year.

Agile and flexible workforce

QRAA values its staff and strives to support quality work-life balance. It has continued to develop alternative working arrangements to provide staff with the opportunity to alter their working arrangements while maintaining QRAA's high level of service delivery.

QRAA currently has processes in place to support a range of flexible working arrangements including compressed working weeks, part-time arrangements, job rotations, job sharing and transition to retirement.

In order to maximise capability deployment, QRAA has developed a formal working from home employment option that has been successfully trialled and proven as a viable enhancement to QRAA's human resourcing.

Workforce plan

A Workforce Plan Steering Committee was established to progress QRAA's three year Workforce Plan which commenced in August 2014. Its purpose is to provide a pathway for QRAA to achieve a flexible and agile workforce that can meet current and future work demands with regards to program management and QRAA's changing operational environment.

As at 30 June 2015, eight initiatives had been completed. These include the introduction of Loans Analyst roles at QRAA, establishment of a program management function within the organisation, realignment of certain roles for organisational efficiency and introduction of leadership training. An additional 11 initiatives were progressed, including projects dedicated to succession planning and career pathing and mobility.

Looking ahead

QRAA will continue to review employment arrangements to ensure appropriate staffing resources are available to meet workloads associated with existing programs and emerging new business opportunities. We will also ensure we retain our capacity to respond quickly to any future natural disaster events.

Our performance

Organisational performance summary

Our priorities	Our objectives	Measuring performance
1. Business sustainability	Secure new viable and profitable business	Number of new businesses
	Optimise uptake of the Primary Industry Productivity Enhancement Scheme	Percentage of predetermined target for the loan portfolio
2. Service excellence	Maintain and continuously improve the quality and timeliness of service delivery to meet the needs of our external and internal stakeholders *	Applications processed within agreed service delivery time frames
	Leadership position within government for the delivery of financial administration programs through the development and management of cost drivers	Number of benefits realised from implementation of new loans and grants administration system
3. Business capability	Improve organisational efficiency and performance *	Percentage of loan arrears maintained within target levels
	Ensure our corporate governance frameworks demonstrate our transparent service delivery and decision making models	Achieve compliance of the governing frameworks, policies and plans for compliance, risk management, internal audit and delegations
	Ensure our QRAA Workforce Plan reflects the strategic direction and incorporates initiatives for agility including staff attraction and retention, multi-skilling and expansion of the rotation program, expansion of the flexible working arrangements, ability to work remotely and an enhanced surge register	Percentage of recommendations identified within the Workforce Plan completed within agreed time frames
		Percentage of staff satisfied within the biennial QRAA Staff Satisfaction Survey post implementation of the Workforce Plan
	Continuous improvement of our business processes and systems including technology	Number of benefits realised from implementation of new loans and grants administration system
		Number of Information Technology Review recommendations implemented within the agreed time frames

* Service standards included within Performance Statement of the 2014-15 Queensland State Budget - Service Delivery Statements.

✓ ACHIEVED ✗ NOT ACHIEVED

2014-15 target/ Estimate	2014-15 actual	Commentary		2015-16 Target/ Estimate
3	6	✓	QRAA secured six new service arrangements this year, including two new Australian Government Concessional Loans Schemes.	3
100% of annual target	85%	✗	Net approvals, incorporating cancellations and adjustments, totalled \$51 million for 2014-15. Whilst this is lower than the \$60 million target, gross approvals totalled \$59.77 million.	100%
85%	98.1%	✓	QRAA's high service standards were strengthened this year with target service delivery timeframes well exceeded.	85%
–	–		Performance measures related to the new Loan and Grant Administration System (LGAS) will be reported once the procurement process is at a stage to enable these to be determined.	
Less than 3%	0.67%	✓	Loan arrears continued to remain well below the performance target. The 2015-16 target has been reduced to encourage continuous improvement.	Less than 1.5%
Timeframes achieved	100%	✓	The annual internal audit plan was achieved within specified timeframes.	Timeframes achieved
Timeframes achieved	100%	✓	All recommendations prioritised for 2014-15 were achieved within specified timeframes.	Timeframes achieved
80%	91%	✓	Targets were exceeded. The next staff survey is due to be facilitated in 2016-17.	80%
–	–		Performance measures related to the new Loan and Grant Administration System (LGAS) will be reported once the procurement process is at a stage to enable these to be determined.	
Timeframes achieved	23	✓	Implementation of the Information Communication Technology Implementation Plan proceeded as planned.	Milestones achieved

QRAA program/ service delivery portfolio

PROGRAM OWNER	PROGRAM/ SERVICE DELIVERY	PURPOSE OF PROGRAM / SERVICE
Productivity enhancement		
Queensland Government	First Start Program *	Provide loans at concessional interest rates in the first years of establishment of a primary production enterprise.
	Sustainability Program *	Provide loans at concessional interest rates to primary producers to implement systems and management practices that enhance sustainable primary production.
Natural disaster		
Australian and Queensland Governments <i>(Natural Disaster Relief and Recovery Arrangements)</i>	Natural Disaster Assistance Individually Disaster Stricken Properties	Assist in meeting the recovery needs of Queensland primary producers affected by isolated disaster events outside of activated Local Government areas.
	Natural Disaster Assistance Far North Queensland Bushfires 2012	Assist affected Queensland primary producers pay for costs arising out of direct damage.
	Special Disaster Assistance Tropical Cyclone Oswald*	Assist affected Queensland primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Tropical Cyclone Oswald*	Assist affected Queensland primary producers and small businesses pay for costs arising out of direct damage.
	Exceptional Disaster Assistance Tropical Cyclone Oswald*	Assist affected Queensland primary producers and businesses essential to key economic supply chains and regional employment and non-profit organisations that play a significant role in supporting the local community, to pay re-establishment costs arising out of direct extreme damage.
	Natural Disaster Assistance Tropical Cyclone Ita*	Assist affected Queensland primary producers pay for costs arising out of direct damage.
	Special Disaster Assistance Tropical Cyclone Marcia*	Assist affected Queensland primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Tropical Cyclone Marcia*	Assist affected primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
Financial resilience		
Australian Government	Farm Finance Concessional Loans Scheme (Queensland)	Assist build the ongoing financial resilience of Queensland farm businesses.
Northern Territory Government	Farm Finance Concessional Loans Scheme (Northern Territory)	Assist build the ongoing financial resilience of Northern Territory farm businesses.
Drought and drought recovery		
Australian Government	Drought Concessional Loans Scheme (Queensland)	Assist Queensland farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
Northern Territory Government	Drought Concessional Loans Scheme (Northern Territory)^	Assist Northern Territory farm businesses that are experiencing a significant financial impact as a result of the effects of drought.
Australian Government	Drought Recovery Concessional Loans Scheme (Queensland)	Assist drought affected farm businesses in need of financial assistance, including those affected by the mid-2011 imposed disruption to live cattle exports.
Adjustment		
Queensland Government	Queensland East Coast Commercial Net Fishing Reduction Scheme (No.3)	Make the Queensland East Coast net fishery more sustainable by the voluntary surrender of relevant licences and fishery symbols.
Other		
Queensland Government	Hendra virus PPE Rebate Scheme	Assist in offsetting the purchase price of prescribed personal protective equipment (PPE) for eligible veterinary surgeons who may be at significant risk of being exposed to the Hendra virus.
	Bovine Johne's Disease Assistance Scheme	Assist eligible applicants who have suffered financial loss because of the slaughter of cattle, or alternative supply actions affecting cattle, related to the occurrence of bovine Johne's disease in Queensland.
	Queensland Cattle Industry Biosecurity Fund	Support the delivery of assistance schemes in response to disease outbreaks affecting the Queensland cattle industry.
	Emergency Water Infrastructure Rebate (EWIR) audit	A sample audit performed for the Department of Agriculture and Fisheries of payments made under EWIR to verify claims were used in accordance with application approvals.

* 2013-14 figures have been amended to reflect cancellations and adjustments that occurred during 2014-15. Figures are accurate as at 30 June 2015.

^ This program was open for applications in 2014-15 but none were received.

SUPPORT AVAILABLE	APPLICATION APPROVALS				
	2013-14 (#)	2014-15 (#)	2013-14 (\$)	2014-15 (\$)	Variance (\$)
Maximum loan amount of \$650,000	105	71	\$45,825,831	\$28,348,317	Down
Maximum loan amount of \$650,000	99	91	\$26,326,678	\$22,656,646	Down
Loan up to \$250,000	1	-	\$250,000	-	Down
Loan up to \$250,000	3	-	\$579,252	-	Closed
Grants up to \$25,000	5,083	-	\$59,632,294	-	Closed
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package up to \$105,000 for non-profit organisations	44	1	\$4,502,453	\$60,000	Closed
Loan and grant package up to \$650,000	42	-	\$13,028,615	-	Closed
Loan up to \$250,000	-	4	-	\$614,000	New
Grant up to \$25,000	-	517	-	\$3,641,590	New
Loan up to \$250,000 for primary producers and small businesses and a loan/grant package up to \$105,000 for non-profit organisations	-	3	-	\$373,259	New
Loan less than 50% of eligible debt to a maximum of \$1,000,000	79	18	\$48,011,456	\$8,613,200	Down
Loan less than 50% of eligible debt to a maximum of \$1,000,000, with a minimum of \$100,000	8	1	\$6,319,900	\$220,000	Down
Loan up to 50% of eligible debt to a maximum of \$1,000,000	1	135	\$290,000	\$80,725,800	Up
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	-	-	-	New
Loan up to 50% of eligible debt to a maximum of \$1,000,000	-	8	-	\$2,813,200	New
Payment of prescribed amounts for the surrender of relevant licences and fishery symbols.	34	47	\$1,390,000	\$5,000,000	Up
a) Rebate of \$250 for each eligible veterinary surgeon employed in a veterinary practice for the initial purchase of prescribed PPE; and b) Rebate of \$250 for the purchase of prescribed PPE payable after an approved test of a suspected Hendra virus infection sample has been completed	49	67	\$28,184	\$36,812	Up
Grant to a combined maximum of \$200,000 under the direct market assistance, supply chain pathway assistance and short term quarantine assistance components of the scheme	75	52	\$1,200,294	\$1,524,821	Up
Administer and manage fund	N/A	N/A	N/A	N/A	N/A
Audit service	N/A	N/A	N/A	N/A	New

Our financials

Financial performance

Income statement

Operating result

An operating surplus was achieved in 2014-15. The surplus is largely a result of interest revenues on the Primary Industry Productivity Enhancement Scheme (PIPES).

Principal and interest recoveries from these loans are reissued as loans to aspiring or existing Queensland primary producers under the PIPES scheme. The components of operating surplus are shown in the table below.

Net interest revenue

The majority of QRAA's interest margin is earned on loans and investments relating to PIPES. QRAA has no borrowing costs for this scheme because PIPES loans are fully funded from internal reserves including principal and interest repaid by borrowers.

The interest rate on the PIPES program is set in accordance with the *Rural and Regional Adjustment Regulation 2011* (Qld). The interest rate is intended to be lower than commercially available rates, but high enough to exceed credit losses and a notional cost of capital.

QRAA receives no revenue on loans provided under the Australian Government Concessional Loans Schemes because all interest received from borrowers is remitted back to the Australian Government.

Credit-related gains/(losses)

To recognise that concessional interest rates to its borrowers represent an additional credit risk, QRAA ascribes a 'fair value' to loans, which is a discounted value on the amount lent.

The difference between the actual amount of a loan and its discounted value is treated as an expense. As loans are repaid, the fair value discount is progressively reversed thereby generating additional income.

In spite of the higher credit risk and consequent fair value treatment, QRAA has an exceptional record of loan recovery, which demonstrates QRAA's deep experience in rural and regional lending. This is supported by \$9.36 million of credit related gains, shown in the table below, significantly exceeding the \$974,000 of credit related impairments and bad debts.

Administration activities

QRAA's flexible staffing model ensured cost-efficient service delivery during 2014-15. QRAA's administration costs were funded by an appropriation of \$9.2 million from the Department of Agriculture and Fisheries and fees and cost recoveries relating to the costs of delivering additional schemes. The surplus of \$591,000 is largely attributable to a timing difference whereby costs that were incurred in the prior year were reimbursed in the current financial year.

	Total (\$'000)	Net interest revenue (\$'000)	Credit-related gains/ (losses) (\$'000)	Administration funding, fees, recoveries, and costs (\$'000)	Grants issued and received (\$'000)
Net Surplus/ (Deficit)	24,450	20,234	4,145	591	(522)
Consisting of:					
Income					
Grants and other contributions	18,605	-	-	9,211	9,394
Fees and cost recoveries	2,600	-	-	2,600	-
Interest earned on loans and advances	30,829	21,473	9,356	-	-
Interest earned from investments	6,636	6,636	-	-	-
Other revenue	2,106	-	-	2,106	-
Gains	15,968	-	15,885	83	-
Expenses					
Employee expenses	(9,385)	-	-	(9,385)	-
Supplies and services	(3,332)	-	-	(3,332)	-
Grants and subsidies	(9,916)	-	-	-	(9,916)
Depreciation and amortisation	(692)	-	-	(692)	-
Loss on discounted loans advanced	(8,604)	-	(8,604)	-	-
Impairment of doubtful loans	(974)	-	(974)	-	-
Finance/borrowing costs	(19,393)	(7,874)	(11,519)	-	-

Financial statements

General Information

These financial statements cover QRAA.

QRAA is a Queensland Government Statutory Body established under the *Rural and Regional Adjustment Act 1994* (Qld).

The body is controlled by the State of Queensland which is the ultimate parent.

The head office and principal place of business of the organisation is:

Level 2, 41 George Street
BRISBANE QLD 4000

A description of the nature of QRAA's operations and its principal activities is included in the notes to the financial statements.

For information in relation to QRAA's financial statements, please call 07 3032 0100 or contact_us@qraa.qld.gov.au or visit www.qraa.qld.gov.au.

Statement of comprehensive income

for the year ended 30 June 2015

	Notes	2015 \$'000	2014 \$'000
Income from Continuing Operations			
Grants and other contributions	2	18,605	76,906
Fees		2,600	1,358
Interest earned on loans and advances		30,829	28,780
Interest earned from investments		6,636	3,841
Other revenue		2,106	164
Total Revenue		60,776	111,048
Gains on disposal/re-measurement of assets and liabilities	3	15,968	10,892
Total Income from Continuing Operations		76,745	121,940
Expenses from Continuing Operations			
Employee expenses	4 & 5	9,385	9,472
Supplies and services	6	3,332	3,251
Grants and subsidies		9,916	67,291
Depreciation and amortisation	7	692	404
Loss on discounted loans advanced		8,604	24,863
Impairment of doubtful loans		974	2,810
Finance/borrowing costs	8	19,393	7,919
Total Expenses from Continuing Operations		52,295	116,012
Operating Result from Continuing Operations		24,450	5,928
Operating Result for the Year		24,450	5,928
Other Comprehensive Income		-	-
Total Comprehensive Income		24,450	5,928

The accompanying notes form part of these statements.

Statement of financial position

as at 30 June 2015

	Notes	2015 \$'000	2014 \$'000
Current Assets			
Cash and cash equivalents	9	227,090	166,246
Loans and advances	10	41,356	48,284
Receivables	11	818	430
Total Current Assets		269,264	214,959
Non-Current Assets			
Loans and advances	10	403,054	340,468
Property, plant and equipment	12	698	783
Intangible Assets	13	486	817
Total Non-Current Assets		404,238	342,069
Total Assets		673,502	557,027
Current Liabilities			
Payables	14	253	199
Unearned Revenue		6,094	3,282
Interest bearing liabilities	15	118,484	9,426
Other financial liabilities	16	11,741	7,121
Accrued employee benefits	17	2,454	2,330
Provisions		-	-
Total Current Liabilities		139,027	22,358
Non-Current Liabilities			
Interest bearing liabilities	15	168,955	186,546
Other non-current financial liabilities	16	42,540	49,582
Accrued employee benefits	17	136	146
Provisions	18	219	219
Total Non-Current Liabilities		211,850	236,493
Total Liabilities		350,877	258,852
Net Assets		322,625	298,175
Equity			
Contributed equity		137,652	137,652
Accumulated surplus		184,973	160,523
Total Equity		322,625	298,175

The accompanying notes form part of these statements.

Statement of changes in equity

for the year ended 30 June 2015

	Notes	Accumulated Surplus	Contributed Equity	TOTAL
		\$'000	\$'000	\$'000
Balance as at 1 July 2013		154,595	137,652	292,247
Operating result for the year		5,928	-	5,928
Other comprehensive income for the year		-	-	-
Total comprehensive income for the year		5,928	-	5,928
Balance as at 30 June 2014		160,523	137,652	298,175
Balance as at 1 July 2014		160,523	137,652	298,175
Operating result for the year		24,450	-	24,450
Other comprehensive income for the year		-	-	-
Total comprehensive income for the year		24,450	-	24,450
Balance as at 30 June 2015		184,973	137,652	322,625

The accompanying notes form part of these statements.

Statement of cash flows

for the year ended 30 June 2015

	Notes	2015 \$'000	2014 \$'000
Cash flows from operating activities			
<i>Inflows:</i>			
Grants and other contributions - Queensland Government		18,605	77,476
Grants and other contributions - Australian Government		-	-
Fees		5,412	4,640
Interest received on investments		6,930	4,025
Interest received on loans and advances		21,269	17,987
GST input tax credits from ATO		589	670
GST collected from customers		196	6,788
Other		1,517	53
<i>Outflows:</i>			
Employee expenses		(9,271)	(9,174)
Supplies and services		(3,270)	(3,469)
Grants and subsidies		(9,916)	(67,291)
Finance/borrowing costs		(7,741)	(1,315)
GST paid to suppliers		(578)	(627)
GST remitted to ATO		(119)	(7,455)
Net cash provided by (used in) operating activities	19	23,622	22,308
Cash flows from investing activities			
<i>Inflows:</i>			
Sales of property, plant and equipment		169	81
Loans and advances redeemed		86,954	64,772
<i>Outflows:</i>			
Payments for property, plant and equipment		(361)	(166)
Payments for computer software		-	(817)
Loans and advances made		(142,741)	(137,011)
Net cash provided by (used in) investing activities		(55,980)	(73,141)
Cash flows from financing activities			
<i>Inflows:</i>			
Borrowings		132,185	125,184
Equity injections		-	-
<i>Outflows:</i>			
Borrowing redemptions		(38,984)	(17,071)
Net cash provided by (used in) financing activities		93,201	108,113
Net increase (decrease) in cash and cash equivalents		60,843	57,279
Cash and cash equivalents at beginning of financial year		166,246	108,967
Cash and cash equivalents at end of financial year	9	227,090	166,246

The accompanying notes form part of these statements.

Notes

to the financial statements 2014-15

Objectives and Principal Activities of QRAA

Note 1:	Summary of Significant Accounting Policies
Note 2:	Grants and Other Contributions
Note 3:	Gains on Disposal / Re-measurement of Assets and Liabilities
Note 4:	Employee Expenses
Note 5:	Key Management Personnel and Remuneration
Note 6:	Supplies and Services
Note 7:	Depreciation and Amortisation
Note 8:	Finance/Borrowing Costs
Note 9:	Cash and Cash Equivalents
Note 10:	Loans and Advances
Note 11:	Receivables
Note 12:	Property, Plant and Equipment
Note 13:	Intangible Assets
Note 14:	Payables
Note 15:	Interest Bearing Liabilities
Note 16:	Other Financial Liabilities
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Note 18:	Provisions
Note 19:	Reconciliation of Operating Surplus to Net Cash from Operating Activities
Note 20:	Commitments for Expenditure
Note 21:	Financial Instruments
Note 22:	Board Members' Fees
Note 23:	Contingencies
Note 24:	Budget vs Actual Comparison

Notes

to the financial statements 2014-15

Objectives and Principal Activities of QRAA

QRAA is established as a statutory body under the *Rural and Regional Adjustment Act 1994* (Qld).

QRAA's vision is to be the preferred provider of financial assistance programs across government through the strategic goals of business sustainability, service excellence and business capability.

QRAA's objectives are to:

- foster the development of a more productive and sustainable rural and regional sector in Queensland;
- support the state's economy by providing assistance to primary producers, small businesses and other elements of the State's economy; and
- give assistance by administering programs for the Australian Government and other states in rural and regional sectors outside Queensland.

QRAA's core responsibility is to administer the Queensland Government's Primary Industry Productivity Enhancement Scheme (PIPES) and when required, support the delivery of *Natural Disaster Relief and Recovery Arrangements* (NDRRA) assistance for primary producers, small businesses and non-profit organisations (jointly funded by the Queensland and Australian Governments).

Note 1. Summary of significant accounting policies

(a) Statement of Compliance

QRAA has prepared these financial statements in compliance with section 42 of the *Financial and Performance Management Standard 2009* (Qld).

These financial statements are general purpose financial statements, and have been prepared on an accrual basis in accordance with Australian Accounting Standards and Interpretations. In addition, the financial statements comply with Queensland Treasury and Trade's Minimum Reporting Requirements for the year ending 30 June 2015, and other authoritative pronouncements.

With respect to compliance with Australian Accounting Standards and Interpretations, QRAA has applied those requirements applicable to non-profit entities, as QRAA is a statutory body. Except where stated, the historical cost convention is used.

(b) Fees

Fees controlled by QRAA are recognised as revenues when the revenue has been earned and can be measured reliably with a sufficient degree of certainty. This involves either invoicing for related goods/services; the recognition of accrued revenue; or the de-recognition of provisions for unearned revenue. Fees are controlled by QRAA where they can be deployed for the achievement of QRAA's objectives.

(c) Grants and Contributions

Grants, contributions, donations and gifts that are non-reciprocal in nature are recognised as revenue in the year in which QRAA obtains control over them (control is generally obtained at the time of receipt). Where grants are received that are reciprocal in nature, revenue is progressively recognised as it is earned, according to the terms of the funding agreements.

(d) Cash and Cash Equivalents

For the purpose of the Statement of Financial Position and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRAA's option and that are subject to a low risk of changes in value. Cash and cash equivalents are measured at fair value through profit and loss, which is assumed to be equal to the nominal amounts notified by QRAA's banks and investment counterparties.

(e) Receivables

Receivables are initially measured at fair value and subsequently at amortised cost. QRAA's receivables are generally payable within 12 months. Therefore both fair value and amortised cost are assumed to be equal to the amount listed in the invoice or contract.

(f) Loans and Advances

Loans and advances are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Loans and advances are measured initially at fair value. Where loans and advances are provided with interest free periods or at concessional interest rates, these financial instruments are considered to have a fair value which is less than the amount lent. This fair value is calculated in accordance with note 1(j). Any additional amount lent is recognised as a charge for discounted loans in profit or loss.

Subsequently, loans and advances are measured at amortised cost using the effective interest method. This involves accretion of the initial discount using such that the carrying value of loans and advances in any financial year is equal to the net present value of the estimated future cash flows. The discount rate used to calculate the net present value is the original effective interest rate applied to the loan.

(g) Bad and Impaired Debts

The collectability of receivables and loans and advances is assessed periodically with a provision being made for impairment. A specific provision for impaired debts has been raised for all identifiable doubtful debts based upon the likely shortfall between the carrying amount and the net present value of the expected future net recoveries.

Outstanding receivables and loans and advances are written off as bad debts when there is no likelihood of recovery.

(h) Acquisition of Assets

Actual cost is used for the initial recording of all non-current physical and intangible asset acquisitions. Cost is determined as the value given as consideration plus costs incidental to the

Notes

to the financial statements 2014-15

Note 1. Summary of significant accounting policies (continuation)

acquisition, including all other costs incurred in getting the asset ready for use. However, any training costs are expensed as incurred.

(i) Plant and Equipment

Items of plant and equipment with a cost or other value equal to or in excess of the asset recognition threshold of \$5,000 are recognised for financial reporting purposes in the year of acquisition.

Items with a lesser value are expensed in the year of acquisition.

Plant and equipment, (that is not classified as major plant and equipment) is measured at cost in accordance with *Queensland Treasury and Trade's Non-Current Asset Policies*. The carrying amounts for such plant and equipment at cost should not materially differ from their fair value.

(j) Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly derived from observable inputs or estimated using another valuation technique.

Observable inputs are publicly available data that are relevant to the characteristics of the assets/liabilities being valued. Observable inputs used by QRAA include, but are not limited to, interest rates charged by commercial financial institutions for lending to rural and regional businesses.

Unobservable inputs are data, assumptions and judgements that are not available publicly, but are relevant to the characteristics of the assets/liabilities being valued. Significant unobservable inputs used by QRAA include, but are not limited to, subjective adjustments made to observable data to take account of the characteristics of QRAA's assets/liabilities. Unobservable inputs are used to the extent that sufficient relevant and reliable observable inputs are not available for similar assets/liabilities.

All assets and liabilities of QRAA for which fair value is measured or disclosed in the financial statements are categorised within the following fair value hierarchy, based on the data and assumptions used in the most recent specific appraisals:

- level 1 – represents fair value measurements that reflect unadjusted quoted market prices in active markets for identical assets and liabilities;
- level 2 – represents fair value measurements that are substantially derived from inputs (other than quoted prices included within level 1) that are observable, either directly or indirectly; and
- level 3 – represents fair value measurements that are substantially derived from unobservable inputs.

All of QRAA's assets and liabilities are classified within level 2 of the fair value hierarchy.

Notes 1(f) and 1(r) explain that the initial fair value of loans and

advances and interest bearing and other financial liabilities is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit rating).

For loans and advances, QRAA estimates these prevailing market rates by reference to the 90 day bank bill swap bid rate (BBSY 90 Bid) plus a risk premium. The risk premium takes account of the term of the loan and the security available. These risk premiums range from 235 basis points to 620 basis points.

The fair value of Borrowings from the Queensland Treasury Corporation (QTC) is notified by QTC. It is calculated using discounted cash flow analysis and the effective interest rate.

For financial liabilities payable to the Australian and Northern Territory Governments, QRAA estimates the prevailing market rate of interest to be equal to the market rate of interest applying to Loans and Advances made under the concessional loans schemes that QRAA administers on behalf of those governments.

For financial liabilities payable to the Queensland Government, QRAA assumes the QTC ten year debt pool interest rates to be the prevailing market rates for a Queensland Government Agency receiving ten year loans from another government agency.

(k) Intangibles

Intangible assets with a cost or other value equal to or greater than \$100,000 are recognised in the financial statements. Items with a lesser value are expensed. Each intangible asset, less any anticipated residual value, is amortised over its estimated useful life to QRAA. The residual value is zero for all of QRAA's intangible assets.

It has been determined that there is not an active market for any of QRAA's intangible assets. As such, the assets are recognised and carried at cost less accumulated amortisation and accumulated impairment losses.

No intangible assets have been classified as held for sale or form part of a disposal group held for sale.

Purchased Software

The purchase cost of this software as well as any employee benefit costs and professional fees arising directly from testing the asset or bringing it into its working condition are capitalised and amortised on a straight-line basis over the period of the expected benefit to QRAA.

(l) Amortisation and Depreciation of Intangibles and Property, Plant and Equipment

All intangible assets of QRAA have finite useful lives and are amortised on a straight line basis.

Plant and equipment is depreciated on a straight-line basis so as to allocate the net cost or revalued amount of each asset, less its estimated residual value, progressively over its estimated useful life to QRAA.

Assets under construction (work-in-progress) are not depreciated until they reach service delivery capacity. Service delivery capacity relates to when construction is complete and the asset is first put to use or is installed ready for use in

Notes

to the financial statements 2014-15

Note 1. Summary of significant accounting policies (continuation)

accordance with its intended application. These assets are then reclassified to the relevant classes within intangibles or property, plant and equipment.

Any expenditure that increases the originally assessed capacity or service potential of an asset is capitalised and the new depreciable amount is depreciated over the remaining useful life of the asset to QRAA.

For each class of depreciable asset, the following depreciation and amortisation rates are used:

Class	Rate %
Plant and equipment:	
Computer equipment	40
Leasehold improvements	17
Motor vehicles	25 - 33.3
Office equipment	10 - 17
Intangible assets	
Computer software purchased	3 - 25

(m) Impairment of Non-Current Assets

All non-current physical and intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

An impairment loss is recognised immediately in the Statement of Comprehensive Income, unless the asset is carried at a revalued amount. When the asset is measured at a revalued amount, the impairment loss is offset against the asset revaluation reserve of the relevant class to the extent available.

Where impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised as income, unless the asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

(n) Leases

All of QRAA's leases are classified as operating leases, because the lessor retains substantially all risks and benefits.

Where operating lease payments are representative of the pattern of benefits derived from the leased assets, they are expensed in the periods in which they are incurred.

Incentives received on entering into operating leases are recognised as liabilities. Lease payments are allocated between rental expense and reduction of the liability.

(o) Payables

Trade creditors are recognised upon receipt of the goods or services ordered and are measured initially at fair value and subsequently at amortised cost. Amounts owing are unsecured and are generally settled on 30 day terms. Therefore both fair value and amortised cost are assumed to be equal to the nominal amount i.e. agreed purchase/contract price, net of applicable trade and other discounts.

(p) Employee Benefits

Employer superannuation contributions are regarded as employee benefits.

Payroll tax and workers' compensation insurance are a consequence of employing employees, but are not counted in an employee's total remuneration package. They are not employee benefits and are recognised separately as employee related expenses.

Wages, Salaries and Sick Leave

Wages and salaries due but unpaid at the reporting date are recognised in the Statement of Financial Position at the current salary rate(s).

As QRAA expects such liabilities to be wholly settled within 12 months of reporting date, the liabilities are recognised at undiscounted amounts.

Prior history indicates that on average, sick leave taken each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised.

As sick leave is non-vesting, an expense is recognised for this leave as it is taken.

Annual Leave and Time off in Lieu (TOIL)

Annual leave and TOIL liabilities are accounted for as short term employee benefits as QRAA expects to wholly settle all such liabilities within the 12 months following reporting date. All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers' compensation insurance) are also recognised as liabilities, where these on-costs are material.

Long Service Leave

Long service leave liabilities are accounted for as 'other long-term employee benefits' in accordance with AASB 119, and split between current and non-current components. Accounting for 'other long-term employee benefits' requires:

- using an actuarial technique to estimate the cost of the employee benefits earned by employees, and
- discounting that benefit in order to determine the present value of QRAA's obligation and current service cost.

All directly associated on-costs (e.g. employer superannuation contributions, payroll tax and workers' compensation insurance) are also recognised as liabilities, where these on-costs are material.

Notes

to the financial statements 2014-15

Note 1. Summary of significant accounting policies (continuation)

Superannuation

Employer superannuation contributions are paid to QSuper, the superannuation scheme for Queensland Government employees, at rates determined by the Treasurer on the advice of the State Actuary. Contributions are expensed in the period in which they are paid or payable. QRAA's obligation is limited to its contribution to QSuper.

The QSuper scheme has defined benefit and defined contribution categories. The liability for defined benefits is held on a whole-of-Government basis and reported in those financial statements pursuant to AASB 1049 *Whole of Government and General Government Sector Financial Reporting*.

Key Management Personnel and Remuneration

Key management personnel and remuneration disclosures are made in accordance with section 5 of the Financial Reporting Requirements for Queensland Government Agencies issued by Queensland Treasury and Trade. Refer to Note 5 for the disclosures on key management personnel and remuneration.

(q) Provisions

Provisions are recorded when QRAA has a present obligation, either legal or constructive as a result of a past event. They are recognised at the amount expected at reporting date for which the obligation will be settled in a future period. Where the settlement of the obligations is expected after 12 or more months, the obligation is discounted to the present value using an appropriate discount rate.

(r) Interest Bearing and Other Financial Liabilities

Financial liabilities are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Financial liabilities are recognised at fair value at initial recognition. Where non-current financial liabilities are provided interest free or at concessional interest rates, they are considered to have a fair value which is less than the amount lent to QRAA. This fair value is calculated in accordance with note 1(j). Any additional amount lent to QRAA above the fair value is recognised as a gain within profit or loss.

Subsequently, financial liabilities are measured at amortised cost. This involves accretion of the initial discount using such that the carrying value of loans and advances in any financial year is equal to the net present value of the estimated future cash flows. The discount rate used to calculate the net present value is the original effective interest rate applied to the loan.

Financial liabilities are classified as non-current to the extent that QRAA has an unconditional right to defer settlement until at least 12 months after reporting date.

(s) Financing/Borrowing Costs

Finance costs include:

- interest on bank overdrafts and short-term and long-term borrowings;
- finance lease charges;

- amortisation of discounts or premiums relating to borrowings; and
- ancillary administration charges.

All borrowing expenses are accounted for in the Statement of Comprehensive Income using the effective interest rate method and are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise.

No borrowing costs are capitalised into qualifying assets.

(t) Contributed Equity

Non-reciprocal transfers of assets and liabilities between wholly-owned Queensland State Public Sector entities as a result of machinery-of-Government changes are adjusted to Contributed Equity in accordance with Interpretation 1038 Contributions by Owners Made to Wholly-Owned Public Sector Entities. Appropriations for equity adjustments are similarly designated.

(u) Insurance

QRAA's non-current physical assets except motor vehicles are insured by the Queensland Government Insurance Fund. Motor Vehicles and certain other risks are insured by JLT Australia, insurance brokers. Premiums are paid on a risk assessment basis. In addition, QRAA pays premiums to WorkCover Queensland in respect of its obligations for employees' compensation.

(v) Taxation

QRAA is a State body as defined under the Income Tax Assessment Act 1936 and is exempt from Commonwealth taxation with the exception of Fringe Benefits Tax (FBT) and Goods and Services Tax (GST). GST credits receivable from, and GST payable to the ATO are recognised within payables and receivables.

(w) Issuance of Financial Statements

The financial statements are authorised for issue by the Chairperson, Chief Executive Officer, the Chair of the Audit and Risk Management Committee and Senior Finance Manager at the date of signing the Management Certificate.

(x) Accounting Estimates and Judgements

The preparation of financial statements necessarily requires the determination and use of certain critical accounting estimates, assumptions, and management judgements that have the potential to cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Such estimates, judgements and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in future periods as relevant.

Estimates and assumptions that have a potential significant effect are outlined in the following financial statement notes:

- Depreciation and Amortisation – Note 1(l) and Note 7
- Accrued employee benefits – Note 17
- Provisions – Note 18
- Split between interest bearing and other financial liabilities – Note 16

Notes

to the financial statements 2014-15

Note 1. Summary of significant accounting policies (continuation)

- Prevailing Market Interest Rates – Note 1(j)
- Bad and Impaired Debts – Note 1(g) and Note 21(c)

Further, the matters covered in each of those notes (except for Depreciation and Amortisation) necessarily involve estimation uncertainty with the potential to materially impact on the carrying amount of QRAA's assets and liabilities in the next reporting period. Reference should be made to the respective notes for more information.

(y) Other Presentation Matters

Currency and Rounding - Amounts included in the financial statements are in Australian dollars and have been rounded to the nearest \$1,000 or where that amount is \$500 or less, to zero, unless disclosure of the full amount is specifically required. Subtotals shown in these financial statements reflect the unrounded amounts in QRAA's financial records, rounded as above. Therefore, rounded amounts shown in these financial statements may not add to the rounded sub-totals.

Comparatives - Comparative information has been restated where necessary to be consistent with disclosures in the current reporting period.

Current/Non-Current Classification - Assets and liabilities are classified as either 'current' or 'non-current' in the Statement of Financial Position and associated notes. Assets are classified as 'current' where their carrying amount is expected to be realised within 12 months after the reporting date. Liabilities are classified as 'current' when they are due to be settled within 12 months after the reporting date, or QRAA does not have an unconditional right to defer settlement to beyond 12 months after the reporting date. All other assets and liabilities are classified as non-current.

(z) New and Revised Accounting Standards

QRAA did not voluntarily change any of its accounting policies during 2014-15. The Australian Accounting Standard applicable for the first time as from 2014-15 that had the most significant impact on QRAA's financial statements is AASB 1055 Budgetary Reporting.

AASB 1055 became effective from reporting periods beginning on or after 1 July 2014. In response to this new standard, QRAA has included in these financial statements a comprehensive new note 'Budget vs Actual Comparison' (Note 24). This note discloses QRAA's original published budgeted figures for 2014-15 compared to actual results, with explanations of major variances, in respect of QRAA's Statement of Comprehensive Income, Statement of Financial Position and Statement of Cash Flows. Note 24 also includes a comparison between the original published budgeted figures for 2014-15 compared to actual results, and explanations of major variances, in respect of QRAA's major classes of administered income, expenses, assets and liabilities.

The following new and revised standards also became applicable to QRAA as a legal entity from reporting periods beginning on or after 1 January 2014. However, they do not apply

to QRAA's current or foreseeable activities:

- AASB 10 Consolidated Financial Statements;
- AASB 11 Joint Arrangements;
- AASB 12 Disclosure of Interests in Other Entities;
- AASB 127 (revised) Separate Financial Statements;
- AASB 128 (revised) Investments in Associates and Joint Ventures; and
- AASB 2011-7 Amendments to Australian Accounting Standards arising from the Consolidation and Joint Arrangements Standards [AASB 1, 2, 3, 5, 7, 101, 107, 112, 118, 121, 124, 132, 133, 136, 138, 139, 1023 & 1038 and Interpretations 5, 9, 16 & 17].

(aa) Accounting Standards with Future Implementation Dates

QRAA is not permitted to early adopt a new or amended accounting standard ahead of the specified commencement date unless approval is obtained from Queensland Treasury and Trade. Consequently, QRAA has not applied any Australian Accounting Standards and Interpretations that have been issued but are not yet effective. QRAA applies standards and interpretations in accordance with their respective commencement dates.

At the date of authorisation of the financial report, the expected impacts of new or amended Australian Accounting Standards with future commencement dates are as set out below.

From reporting periods beginning on or after 1 July 2016, QRAA will need to comply with the requirements of AASB 124 Related Party Disclosures. That accounting standard requires a range of disclosures about the remuneration of key management personnel, transactions with related parties/entities, and relationships between parent and controlled entities. QRAA already discloses information about the remuneration expenses for key management personnel (refer to Note 5) in compliance with requirements from Queensland Treasury. Therefore, the most significant implications of AASB 124 for QRAA's financial statements will be the disclosures to be made about transactions with related parties, including transactions with key management personnel or close members of their families.

AASB 15 Revenue from Contracts with Customers will become effective from reporting periods beginning on or after 1 January 2017. This standard contains much more detailed requirements for the accounting for certain types of revenue from customers. Depending on the specific contractual terms, the new requirements may potentially result in a change to the timing of revenue from sales of QRAA's services. There may also be a requirement to recognise and subsequently amortise a liability in respect of the time value of money where fees are received in advance of the services being provided. QRAA is yet to complete its analysis of current arrangements for sale of and services, but at this stage does not expect a significant impact on its present accounting practices.

AASB 9 Financial Instruments and AASB 2014-7 Amendments to Australian Accounting Standards arising from AASB 9 (December 2014) will become effective from reporting periods beginning on or after 1 January 2018. The main impacts of these standards on QRAA are that they will change the requirements for the classification, measurement, impairment and disclosures

Notes

to the financial statements 2014-15

Note 1. Summary of significant accounting policies (continuation)

associated with QRAA's financial assets. AASB 9 will introduce different criteria for whether financial assets can be measured at amortised cost or fair value. Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met. One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

QRAA has commenced reviewing the measurement of its financial assets against the new AASB 9 classification and measurement requirements. However, as the classification of financial assets at the date of initial application of AASB 9 will depend on the facts and circumstances existing at that date, QRAA's conclusions will not be confirmed until closer to that time.

Another impact of AASB 9 relates to calculating impairment losses for QRAA's loans and advances. Assuming no substantial change in the nature of QRAA's loans and advances, impairment losses will be determined according to the amount of lifetime expected credit losses. On initial adoption of AASB 9, QRAA will need to determine the expected credit losses for its loans and advances by comparing the credit risk at that time to the credit risk that existed when those loans and advances were initially recognised.

QRAA will not need to restate comparative figures for financial instruments on adopting AASB 9 as from 2018-19. However, changed disclosure requirements will apply from that time. A number of one-off disclosures will be required in the 2018-19 financial statements to explain the impact of adopting AASB 9. Assuming no change in the types of financial instruments that QRAA enters into, the most likely ongoing disclosure impacts are expected to relate to the credit risk of financial assets subject to impairment.

All other Australian accounting standards and interpretations with future commencement dates are either not applicable to QRAA's activities, or have no material impact on QRAA.

Notes

to the financial statements 2014-15

Note 2. Grants and other contributions

The Queensland Government contributes to the funding of QRAA and the Australian, Queensland and Northern Territory Governments contribute towards the administration costs of specific assistance schemes. The amounts of income recognised towards such purposes are set out below.

	2015 \$'000	2014 \$'000
Grants	18,605	76,556
Donations - assets	-	350
Total	18,605	76,906

Note 3. Gains on disposal/ re-measurement of assets or liabilities

	2015 \$'000	2014 \$'000
Gain on borrowings received at concessional interest rates	15,885	10,855
Net gain on disposal of property plant and equipment	83	37
Total	15,968	10,892

Note 4. Employee expenses

	2015 \$'000	2014 \$'000
Employee Benefits		
Wages and salaries	6,854	6,973
Annual leave expense	633	663
Employer superannuation contributions	928	975
Long service leave expense	201	211
Termination Benefit	81	-
Other employee benefits	123	100
Employee Related Expenses		
Workers' compensation premium	21	22
Payroll tax	416	440
Other employee related expenses	128	88
Total	9,385	9,472

The number of employees as at 30 June, including both full-time employees and part-time employees, measured on a full-time equivalent basis (reflecting Minimum Obligatory Human Resource Information (MOHRI)) is:

	2015	2014
Number of employees	83	90

Notes

to the financial statements 2014-15

Note 5. Key Management Personnel and Remuneration

(a) Key Management Personnel

The following details for key management personnel include those positions that had authority and responsibility for planning, directing and controlling the activities of QRAA during 2014-15. Further information can be found in the body of the Annual Report under the section relating to Executive Management.

Position	Responsibilities	Current incumbents	
		Contract classification and appointment authority	Date appointed to position (Date resigned from position)
Chief Executive Officer (CEO)	The Chief Executive Officer reports to QRAA's Board of Directors and the Minister for Agriculture, Fisheries and Minister for Sport and Racing. He/she is responsible for leading and managing the affairs of QRAA including strategically positioning QRAA to achieve organisational and financial goals and implement Board policy.	<i>Contract - Governor in Council</i>	Appointed 16 August 2011 Retired effective 14 August 2015 New CEO appointed 10 August 2015
General Manager, Program Delivery Services	Program Delivery Services delivers financial assistance programs that foster the development of rural and regional sector that supports the Queensland economy. Program Delivery Services also delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry.	<i>SES 2 Low - Rural and Regional Adjustment Act 1994 (Qld)</i>	20 November 2006
General Manager, Corporate Strategy and Support	The Corporate Strategy and Support division develops and manages QRAA's systems, infrastructure and policies in the areas of finance, human resources and information services. It facilitates planning, performance improvement, strategic communications, and business development.	<i>SES 2 Low - Rural and Regional Adjustment Act 1994 (Qld)</i>	6 May 2013
Project Director	Lead the procurement and implementation of a new loans and grants administration solution which is aligned with QRAA's strategic direction.	<i>SES 2 Low - Rural and Regional Adjustment Act 1994 (Qld)</i>	18 March 2013

(b) Remuneration Expenses

Remuneration policy for QRAA's key management personnel is set by the Board of Directors as provided under the *Rural and Regional Adjustment Act 1994 (Qld)*.

For the 2014-15 year, remuneration of the General Manager Program Delivery Services, General Manager Corporate Strategy and Support and the Project Director, Loans and Grants Administration System (LGAS) increased by 2.2 per cent in accordance with government policy.

The following disclosures focus on the expenses attributable to key management positions that were incurred by QRAA during the respective reporting periods. The amounts disclosed reflect expenses recognised in the Statement of Comprehensive Income.

Notes

to the financial statements 2014-15

Note 5. Key Management Personnel and Remuneration (continuation)

Remuneration packages for key management personnel comprise the following components:

- Short term employee benefits which include:
 - salaries, allowances and leave entitlements earned and expensed for the entire year or for that part of the year during which the employee occupied the specified position.
 - Non-monetary benefits – consisting of provision of a vehicle together with fringe benefits tax applicable to the benefit.
- Long term employee benefits include amounts expensed in respect of long service leave.
- Post-employment benefits include amounts expensed in respect of employer superannuation obligations.
- Termination benefits are not provided for within individual contracts of employment. Contracts of employment provide only for notice periods or payment in lieu of notice on termination, regardless of the reason for termination.
- Performance bonuses are not paid under the contracts in place.

Total fixed remuneration is calculated on a 'total cost' basis and includes the base and non-monetary benefits, long term employee benefits and post-employment benefits.

1 July 2014– 30 June 2015

Position (date resigned if applicable)	Short term employee benefits		Long Term Employee Benefits	Post Employment Benefits	Total Expenses
	Monetary Expenses	Non- Monetary Benefits			
	\$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	215	35	7	35	291
General Manager, Program Delivery Services	165	18	5	22	210
General Manager, Corporate Strategy and Support	160	-	5	18	183
Project Director	155	6	5	17	184

1 July 2013 – 30 June 2014

Position (date resigned if applicable)	Short term employee benefits		Long Term Employee Benefits	Post Employment Benefits	Total Expenses
	Monetary Expenses	Non- Monetary Benefits			
	\$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	213	36	8	34	291
General Manager, Program Delivery Services	161	14	5	22	202
General Manager, Corporate Strategy and Support	168	-	10	17	195
Project Director	173	6	5	18	202

Notes

to the financial statements 2014-15

Note 6. Supplies and services

	2015 \$'000	2014 \$'000
Advertising and promotion	61	68
Audit fees - External	65	82
Audit fees - Internal	77	51
Bank and other financial institution fees and charges	124	37
Computer expenses	274	218
Consultants	254	26
Contractors	440	773
Insurance	82	84
Motor vehicle expenses	112	134
Photocopying	5	1
Postage	50	57
Printing	51	37
Professional and legal expenses	102	167
Rent	943	857
Securities expenses	104	145
Stationery	13	23
Telephone and fax	159	139
Travel and accommodation	155	279
Other	261	75
Total	3,332	3,251

Total audit fees paid to the Queensland Audit Office relating to the 2014-15 financial statements are estimated to be \$70,362 (2014: \$68,138).

Note 7. Depreciation and amortisation

	2015 \$'000	2014 \$'000
Depreciation and/ or amortisation were incurred in respect of:		
Computer equipment	47	64
Leasehold improvements	142	164
Motor vehicles	167	157
Office equipment	5	19
Purchased software	331	-
Total	692	404

Notes

to the financial statements 2014-15

Note 8. Finance/borrowing costs

	2015 \$'000	2014 \$'000
Interest on borrowings	7,874	1,315
Effective interest adjustment on discounted financial liabilities	11,519	6,605
Total	19,393	7,919

Note 9. Cash and cash equivalents

This item includes cash and funds on short-term deposit. The total amount shown at call as at 30 June 2015 was \$227,090 (2014: \$104,778). All bank and QTC cash holdings are interest bearing.

Cash held at the end of the year were:

	2015 \$'000	2014 \$'000
Cash at Bank	40,587	133,671
Queensland Treasury Corporation - at call	186,503	32,575
Total	227,090	166,246

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994* (Qld), the *Statutory Bodies Financial Arrangements Act 1982* (Qld) and QRAA's Investment Policy. Refer to note 19 for details of QRAA's use of cash balances and interest on loans.

Note 10. Loans and advances

Loans and advances are made to primary producers and businesses at either a concessional or commercial interest rate.

	2015 \$'000	2014 \$'000
Gross	539,129	484,744
Accrued Interest – loans and advances	3,936	3,732
Provision for impairment	(4,639)	(4,956)
Unamortised Discount on Loans Issued at Greater than Fair Value	(94,015)	(94,768)
Total	444,410	388,752
Current	41,356	48,284
Non -Current	403,054	340,468
Total	444,410	388,752

Note 11. Receivables

	2015 \$'000	2014 \$'000
Trade receivables	102	109
Other receivables	700	-
GST receivable	16	27
Accrued interest - bank	-	294
Grants receivable	-	-
Total	818	430

Notes

to the financial statements 2014-15

Note 12. Property, plant and equipment

	2015 \$'000	2014 \$'000
Computer equipment - at cost	458	447
Accumulated depreciation	(438)	(391)
	20	55
Leasehold improvements - at cost	570	570
Accumulated depreciation	(249)	(107)
	321	463
Motor vehicles - at cost	509	472
Accumulated depreciation	(169)	(230)
	340	242
Office equipment - at cost	240	240
Accumulated depreciation	(223)	(217)
	17	23
Total	698	783

Reconciliations

Reconciliations of the carrying amounts of each class of asset are set out below:

	2015 \$'000	2014 \$'000
Computer Equipment		
Carrying amount at 1 July	55	113
Acquisitions	12	6
Depreciation	(47)	(64)
Carrying amount at 30 June	20	55
Leasehold Improvements		
Carrying amount at 1 July	463	57
Acquisitions	-	570
Depreciation	(142)	(164)
Carrying amount at 30 June	321	463
Motor vehicles		
Carrying amount at 1 July	242	283
Acquisitions	350	159
Disposals	(86)	(43)
Depreciation	(167)	(157)
Carrying amount at 30 June	340	242
Office Equipment		
Carrying amount at 1 July	23	42
Acquisitions	-	-
Depreciation	(5)	(19)
Carrying amount at 30 June	17	23
Total	698	783

Notes

to the financial statements 2014-15

Note 13. Intangible assets

	2015 \$'000	2014 \$'000
Computer software purchased - at cost	1799	1,799
Accumulated amortisation	(1,313)	(982)
	486	817

Reconciliations

Reconciliations of the carrying amounts of each class of asset are set out below:

	2015 \$'000	2014 \$'000
Purchased software		
Carrying amount at 1 July	817	-
Acquisitions	-	817
Amortisation	(331)	-
Carrying amount at 30 June	486	817

Note 14. Payables

	2015 \$'000	2014 \$'000
Current		
Trade creditors and accruals	176	198
GST payable	78	1
	253	199

Note 15. Interest Bearing Liabilities

	2015 \$'000	2014 \$'000
Current		
Queensland Treasury Corporation	763	1,115
Queensland Government	17,286	8,233
Northern Territory Government	19,149	26
Australian Government	81,286	52
	118,484	9,426
Non-current		
Queensland Treasury Corporation	1,528	2,292
Queensland Government	68,491	85,056
Northern Territory Government	5,477	14,214
Australian Government	93,459	84,985
	168,955	186,547
Total Interest Bearing Liabilities	287,439	195,972

Notes

to the financial statements 2014-15

Note 15. Interest Bearing Liabilities (continuation)

QRAA has a loan facility with Queensland Treasury Corporation which is approved under the Queensland Government's State Borrowing Program. At 30 June 2015, the amount undrawn under the facility was \$21.709 million.

Interest rates on interest bearing liabilities range from 1.92 per cent to 5.19 per cent.

Refer to disclosures underneath note 16 for additional information that applies to both interest-bearing liabilities and other financial liabilities.

Note 16. Other financial liabilities

	2015 \$'000	2014 \$'000
Current		
Queensland Government	11,741	7,121
	11,741	7,121
Non-current		
Queensland Government	42,540	49,582
	42,540	49,582
Total Other Financial Liabilities	54,281	56,703
Summary of Interest Bearing and Other Financial Liabilities		
Summary of Current Financial Liabilities		
Queensland Treasury Corporation	763	1,115
Queensland Government	29,027	15,354
Northern Territory Government	19,149	26
Australian Government	81,286	52
Total current financial liabilities	130,225	16,547
Summary of Non-Current Financial Liabilities		
Queensland Treasury Corporation	1,528	2,292
Queensland Government	111,031	134,638
Northern Territory Government	5,477	14,214
Australian Government	93,459	84,984
Total non-current financial liabilities	211,495	236,128
Total Financial Liabilities	341,721	252,675

No assets have been pledged as security for any liabilities.

All borrowings are in \$A denominated amounts, and no interest has been capitalised during the current or comparative reporting period. There have been no defaults or breaches of any loan agreements during the period.

QRAA borrows money from the Commonwealth and Northern Territory Governments to be on-lent to successful applicants under the Commonwealth Government's Concessional Loans Schemes. The timing and quantum of interest payable to the Commonwealth and Northern Territory Governments is directly linked to the timing and quantum of bank and loan interest received by QRAA in relation to funds provided for the Commonwealth Government's Concessional Loans Schemes. Where QRAA is unable to recover concessional loans made to businesses on behalf of the Commonwealth or Northern Territory Governments, QRAA's obligation to repay the respective liability to the Commonwealth or Northern Territory Government will be reviewed and may be reduced in accordance with the loan agreements between QRAA and those governments.

Under the *Natural Disaster Relief and Recovery Arrangements* (NDRRA) Program, QRAA borrows funds from the Queensland Government. Part of the funds borrowed is interest bearing, and part is interest free. The portion of these borrowings which is interest bearing is sometimes not confirmed until after the publication of QRAA's financial statements. Where this occurs, QRAA estimates the ultimate split between interest bearing borrowings and interest free borrowings. This split is estimated by applying the guidelines in the NDRRA Determination 2012 and the actual split confirmed by the Commonwealth Government over recent years.

Notes

to the financial statements 2014-15

Note 17. Accrued employee benefits

	2015 \$'000	2014 \$'000
Current		
Wages outstanding	178	106
Annual leave	724	762
Long service leave	1,552	1,463
	2,454	2,330
Non-current		
Long service leave	136	146
	136	146

The discount rate used to calculate the present value of long service leave is 1.87 per cent to 2.49 per cent (2014: 2.46 per cent to 3.11 per cent).

Note 18. Provision

Restoration costs	2015 \$'000	2014 \$'000
Balance as at 1 July	219	191
Reductions in provision	-	(191)
Additional provision recognised	-	219
Balance at 30 June	219	219
Current	-	-
Non-current	219	219

The provision for restoration costs is based on an estimate of the cost of fulfilling the make good requirements in the lease for QRAA's current premises. This provision made is based on an estimated cost of \$150 per square metre, which is consistent with prior years. The impact of the time value of money on this provision was not deemed to be material. This provision has been capitalised as a restoration cost as part of QRAA's leasehold improvements.

Notes

to the financial statements 2014-15

Note 19. Reconciliation of operating surplus to net cash from operating activities

	2015 \$'000	2014 \$'000
Operating surplus/(deficit)	24,450	5,928
Depreciation and amortisation expense	692	404
Donated assets	-	(350)
Gain on sale of property, plant and equipment	(83)	(37)
Impairment of doubtful loans	1,085	2,699
<i>Change in assets and liabilities:</i>		
(Increase)/decrease in accrued interest income	294	(513)
(Increase)/decrease in unamortised discount on borrowings received at greater than fair value	(4,367)	(4,250)
(Increase)/decrease in GST input tax credits receivable	11	43
(Increase)/decrease in other receivables	(700)	920
(Increase)/decrease in prepayments/other	7	(72)
Increase/(decrease) in accounts payable	(22)	40
Increase/(decrease) in unamortised discount on loans issued at greater than fair value	(753)	14,769
Increase/(decrease) in accrued employee benefits	113	298
Increase/(decrease) in GST payable	84	(662)
Increase/(decrease) in provisions	-	(190)
Increase/(decrease) in unearned revenue	2,812	3,282
Net cash from operating activities	23,622	22,308

Cash and interest revenue related to the funding of QRAA's financial assistance programs are:

- not used to pay QRAA's employee expenses or supplies and services;
- quarantined using separate bank accounts and separate accounting ledgers from cash that QRAA uses to pay for employee expenses and supplies and services; and
- Only reissued as future payments to program applicants, or repaid to the Government Agencies that funded the respective financial assistance programs.

Notes

to the financial statements 2014-15

Note 20. Commitments for expenditure

(a) Non-cancellable operating lease

Commitments under operating leases at reporting date are inclusive of anticipated GST and are payable as follows:

	2015 \$'000	2014 \$'000
Not later than one year	885	856
Later than one year and not later than five years	1,156	2,006
Total	2,042	2,861

No lease arrangements create restrictions on other financing transactions.

Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

(b) Capital Expenditure Commitments

At the reporting date, QRAA had no commitments for capital expenditure.

(c) Financial Assistance Commitments

At reporting date, QRAA has undrawn financial assistance commitments of \$31.791 million (2014: \$35.151 million). Undrawn commitments are loans and grants that have been approved and are awaiting client drawdown at balance date.

Note 21. Financial instruments

(a) Categorisation of financial instruments

QRAA has the following categories of financial assets and financial liabilities:

Category	Note	2015 \$'000	2014 \$'000
Financial assets			
Cash and cash equivalents	9	227,090	166,246
Loans and advances	10	444,410	388,752
Receivables	11	818	430
Total		672,318	555,428
Financial liabilities			
Financial liabilities measured at amortised cost:			
Payables	14	253	199
Interest bearing liabilities	15	287,439	195,972
Other financial liabilities	16	54,281	56,703
Total		341,974	252,874

(b) Financial Risk Management

QRAA's Board of Directors has endorsed a policy of compliance and risk management to suit the risk profile of QRAA including financial risk. Authority flows from the Board to the Audit and Risk

Management Committee and from there to the Chief Executive Officer, the Senior Executive Team and management.

The main elements of risk governance are as follows:

(1) Board of Directors

This is the primary governing body that approves the level of risk to which QRAA is exposed and the framework for reporting and mitigating those risks.

(2) Audit and Risk Management Committee

Its key role in risk management is the assessment of the controls that are in place to mitigate risks. The Committee considers and confirms that the significant risks and controls are to be assessed within the internal audit plan. The Audit and Risk Management Committee receives the internal audit reports on assessment and compliance with the controls, and provides feedback to the Board for their consideration.

(3) Internal Audit

QRAA outsources its internal audit function and the internal audit function has responsibility for implementing the controls testing and assessment as required by the Audit and Risk Management Committee.

Financial risk management is implemented pursuant to the Queensland Government's and QRAA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRAA.

All financial risk is managed by the Finance and Program Delivery business units under policies approved by QRAA. QRAA provides written principles for overall risk management, as well as policies covering specific areas.

QRAA measures risk exposure using a variety of methods as follows:

Risk Exposure	Measurement method
Credit risk	Ageing analysis
Liquidity risk	Maturity analysis
Market risk	Interest rate sensitivity analysis
Operational risk	Internal controls

c) Credit Risk Exposure

Credit risk exposure refers to the situation where QRAA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.

The maximum exposure to credit risk at balance date in relation to each class of recognised financial assets is the gross carrying amount of those assets inclusive of any provisions for impairment.

The method of managing credit risk exposure is by way of strict adherence to the credit assessment procedures before loans are approved, annual reviews, and close monitoring of arrears in the repayments of loans thereafter on a daily basis with monthly reporting to the Board.

Notes

to the financial statements 2014-15

Note 21. Financial instruments (continuation)

QRAA has established procedures over the:

- Credit assessment and approval of loans covering risk assessment and security requirements;
- Reassessing and review of the credit exposure on loans;
- Establishing appropriate provisions to recognise the impairment of loans;
- Debt recovery procedures; and
- Review of compliance with the above procedures.

QRAA loans and advances are classified on a numerical scale, based on risk (against real estate security). The risk classification system utilises an ascending numerical scale. The scale rating used is 1-8 where (1) represents the least risk and (8) the greatest risk.

All loans within the scale ranks 1 to 4 are fully covered by real estate security. However all loans with the scale ranks 5 to 8 are examined individually as these are regarded as the most vulnerable to loss notwithstanding real estate or other forms of security may be held. Where sufficient doubt exists about the collectability of principal and interest and further, where the market value of QRAA's held security may be insufficient to cover the full payment of a client's loan, a provision is established.

A regular review of compliance is conducted as part of QRAA's internal audit plan.

(i) Past due and impaired loans

A loan is past due when the client has failed to make payment when contractually due. Past due does not mean that a client will never pay but it can trigger various actions such as renegotiation, enforcement of covenants or legal proceedings.

If appropriate, the estimated recoverable amount of the loan is determined and any impairment loss based on the net present value of future anticipated cash flows is recognised in the financial statements. A provision for impairment is established on all past due loans after a specified period of repayment default where it is probable that some of the asset will not be repaid or recovered.

(ii) Collateral securing loans

The majority of the loan portfolio is secured on real property in Australia. Therefore, QRAA is exposed to risk in the reduction of the Loan to Value (LVR) cover should the property market be subject to a decline.

The risk of loss from the loans undertaken is primarily reduced by the nature and quality of the security taken. The valuation of securities is assessed annually to ensure sufficient collateral to cover the indebtedness of customers. QRAA policy is to hold security over real property where available. At least 98.8 per cent of loans are well secured against real property mortgages which carry an 80 per cent Loan to Valuation ratio or less.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal client loan risk classification based on collateral provided by borrowers/recipients:

Collateral Coverage	2015 \$'000	2014 \$'000
Loans and advances with:		
Full collateral coverage	536,660	481,238
Partial collateral coverage	6,405	7,238
No collateral coverage	-	-
	543,065	488,476

(iii) Concentration risks

Concentration risk is a measurement of QRAA's exposure to an individual client or group of clients. QRAA minimises concentrations of credit risk in relation to loans by undertaking transactions with a large number of clients.

Notes

to the financial statements 2014-15

Note 21. Financial instruments (continuation)

	Maximum exposure to credit risk			
	% of total loans		\$'000	
	2015	2014	2015	2014
Geographical area				
Central Queensland	23.91%	23.30%	129,871	112,962
North Queensland	12.37%	16.93%	67,167	82,044
South East Queensland	44.41%	45.79%	241,191	221,949
South West Queensland	13.48%	9.76%	73,221	47,330
West Queensland	4.61%	4.22%	25,032	20,460
Northern Territory	1.21%	-	6,582	-
Total	100.00%	100.00%	543,065	484,744
Industry				
Aquaculture and Fishing	0.77%	1.02%	4,180	4,939
Banana Growing	2.04%	3.49%	11,068	16,906
Beef Cattle	46.66%	41.15%	253,410	199,467
Dairy Cattle	3.34%	3.74%	18,127	18,139
Grain and Livestock	10.40%	9.28%	56,504	44,992
Other Crops	9.97%	11.08%	54,159	53,687
Other Livestock	4.25%	4.27%	23,075	20,709
Small Crops and Fruit	5.55%	6.05%	30,118	29,317
Sugar Cane	13.81%	14.88%	74,991	72,140
Small Business	3.21%	5.04%	17,433	24,447
Total	100.00%	100.00%	543,065	484,744

The following table represents QRAA's maximum exposure to credit risk based on contractual amounts net of any allowances:

Maximum exposure to credit risk	Note	2015	2014
Category		\$'000	\$'000
Financial assets			
Loans and advances	10	543,065	488,476
Receivables	11	818	430
Total		543,883	488,906

The allowance for impairment reflects the occurrence of loss events. The most readily identifiable loss event is where a debtor is significantly overdue in making a contractual repayment to QRAA.

The method for calculating any provision for impairment is based on past experience, current and expected changes in economic conditions and changes in client credit risk category. The main factors affecting the current calculation for provisions are disclosed below as loss events. These economic and geographic changes form part of QRAA's documented risk analysis assessment in conjunction with historic experience and associated industry data.

If no loss events have arisen in respect of a particular debtor or group of debtors, no allowance for impairment is made in respect of that debt/group of debtors. If QRAA determines that an amount owing by such a debtor does become uncollectible (after an appropriate range of debt recovery actions), that amount is recognised as a Bad Debt expense and written-off directly against Loans and Advances. In other cases where a debt becomes uncollectible but the uncollectible amount exceeds the amount already allowed for impairment of that debt, the excess is recognised directly as a Bad Debt expense and written-off directly against Loans and Advances.

Notes

to the financial statements 2014-15

Note 21. Financial instruments (continuation)

Ageing of past due but not impaired as well as impaired financial assets within the total loan portfolio are disclosed in the following tables:

2015 financial assets past due but not impaired

	Overdue				Total \$'000
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	
	\$'000	\$'000	\$'000	\$'000	
Loans and advances	27,026	4,572	2,542	15,001	49,140

2014 financial assets past due but not impaired

	Overdue				Total \$'000
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	
	\$'000	\$'000	\$'000	\$'000	
Loans and advances	23,768	7,470	5,380	16,454	53,072

2015 individually impaired financial assets

	Overdue				Total \$'000
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	
	\$'000	\$'000	\$'000	\$'000	
Loans and advances (gross)	28	48	14	399	489
Provision for impairment	(28)	(48)	(14)	(388)	(478)
Carrying amount	-	-	-	11	11

2014 individually impaired financial assets

	Overdue				Total \$'000
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	
	\$'000	\$'000	\$'000	\$'000	
Loans and advances (gross)	(130)	68	34	256	228
Provision for impairment	130	(68)	(34)	(181)	(153)
Carrying amount	-	-	-	75	75

Movements in Allowance for Impairment

	2015 \$'000	2014 \$'000
Balance at 1 July	4,956	3,002
Increase/decrease in allowance recognised in operating result	974	2,810
Amounts written-off during the year	(1,291)	(856)
Balance at 30 June	4,639	4,956

Notes

to the financial statements 2014-15

Note 21. Financial instruments (continuation)

(d) Liquidity Risk

Liquidity risk refers to a situation where QRAA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

QRAA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation, Queensland Treasury and Trade, the Australian Government and the Northern Territory Government for on-lending.

QRAA manages liquidity risk through the use of a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRAA has sufficient funds available to meet payment obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various liabilities.

The following table sets out the liquidity risk of financial liabilities held by QRAA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date as advised by Queensland Treasury Corporation, the Australian Government and the Northern Territory Government. The undiscounted cash flows in these tables differ from the amounts included in the Statement of Financial Position that are based on discounted cash flows.

Financial liabilities	Note	2015 Payable in			Total
		<1 year \$'000	1-5 years \$'000	>5 years \$'000	\$'000
Payables	14	253	-	-	253
Australian Government Borrowings	15	86,457	117,255	-	203,713
Northern Territory Government Borrowings	15	20,215	7,290	-	27,505
Queensland Government Borrowings	15&16	30,631	81,208	55,333	167,171
Queensland Treasury Corporation Borrowings	15	868	1,611	-	2,480
Total		138,424	207,365	55,333	401,122

Financial liabilities	Note	2014 Payable in			Total
		<1 year \$'000	1-5 years \$'000	>5 years \$'000	\$'000
Payables	14	199	-	-	199
Australian Government	15	2,199	103,716	-	105,915
Northern Territory Government	15	908	26,005	-	26,913
Queensland Government	15&16	17,170	94,323	73,095	184,589
Queensland Treasury Corporation	15	1,272	2,476	-	3,748
Total		21,749	226,520	73,095	321,364

(e) Market Risk

QRAA does not trade in foreign currency and is not materially exposed to commodity price changes. QRAA is exposed to interest rate risk through its interest bearing borrowings, cash deposited in interest bearing accounts, and through the variable interest rates applying to certain loans issued by QRAA. QRAA does not undertake any hedging in relation to interest risk and manages its risk as per QRAA's liquidity risk management strategy as articulated above.

(f) Interest Rate Sensitivity Analysis

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on results if interest rates would change by +/- 1 per cent from the year-end rates applicable to the QRAA's financial assets and liabilities. With all other variables held constant, QRAA would have a surplus and equity increase/(decrease) of \$3.841 million (2014: \$3.590 million). This is mainly attributable to QRAA's exposure to variable interest rates on its loans and advances.

The impact of interest rate movement on QRAA's profit and equity has decreased in the current period due to a decrease in the ratio of QRAA's interest bearing assets to interest bearing liabilities from 2.86:1 (2014) to 2.35:1 (2015).

Notes

to the financial statements 2014-15

Note 21. Financial instruments (continuation)

Financial instruments	Carrying amount \$'000	2015 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and Cash Equivalents	227,090	(2,271)	(2,271)	2,271	2,271
Loans and Advances	444,410	(4,444)	(4,444)	4,444	4,444
Australian Government Borrowings	174,745	1,747	1,747	(1,747)	(1,747)
Northern Territory Government Borrowings	24,627	246	246	(246)	(246)
Queensland Government Borrowings	85,777	858	858	(858)	(858)
Queensland Treasury Corporation Borrowings	2,292	23	23	(23)	(23)
Overall effect on profit and equity		(3,841)	(3,841)	3,841	3,841

Financial instruments	Carrying amount \$'000	2014 interest rate risk			
		-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and Cash Equivalents	166,246	(1,662)	(1,662)	1,662	1,662
Loans and Advances	388,752	(3,888)	(3,888)	3,888	3,888
Australian Government Borrowings	85,037	850	850	(850)	(850)
Northern Territory Borrowings	14,240	142	142	(142)	(142)
Queensland Government	93,289	933	933	(933)	(933)
Queensland Treasury Corporation Borrowings	3,407	34	34	(34)	(34)
Overall effect on profit and equity		(3,590)	(3,590)	3,590	3,590

(g) Fair Value

QRAA measures cash and cash equivalents at fair value. The fair values of trade payables, other receivables, and accrued bank interest are assumed to approximate the carrying values. The fair values of QRAA's other financial assets and financial liabilities are set out below:

Financial liabilities	2015		2014	
	Carrying amount	Fair Value	Carrying Amount	Fair value
	\$'000	\$'000	\$'000	\$'000
Financial liabilities at amortised cost				
Australian Government Borrowings	174,745	174,734	85,036	84,919
Northern Territory Government Borrowings	24,627	24,627	14,240	13,325
Queensland Government Borrowings	140,058	148,310	149,992	150,801
Queensland Treasury Corporation Borrowings	2,292	2,394	3,407	3,555
Total	341,721	350,065	252,675	252,600
Financial assets	2015		2014	
	Carrying amount	Fair Value	Carrying Amount	Fair value
	\$'000	\$'000	\$'000	\$'000
Financial assets at amortised cost				
Loans and advances	444,410	472,299	388,752	421,078

Notes

to the financial statements 2014-15

Note 22. Board Members' Fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRAA does not reimburse Board members who are government representatives.

	2015 \$'000	2014 \$'000
Board members remuneration	113	88
Number of Board members receiving remuneration in the following ranges		
\$1 to \$9,999	-	3
\$10,000 to \$19,999	4	2
\$20,000 to \$29,999	-	-
\$30,000 to \$39,999	-	-
\$40,000 to \$49,999	-	1
\$50,000 to \$59,999	1	-

The Board members of QRAA are:

Wayne Carlson (Chairman)
Dugald Warby
Georgina Somerset
Dr. Elizabeth Woods
Damian Morgan
Christopher Hood
Warwick Agnew

Note 23. Contingencies

QRAA did not have any contingent assets or liabilities as at 30 June 2015 (2014: nil).

Notes

to the financial statements 2014-15

Note 24. Budget vs Actual Comparison

Statement of Comprehensive Income

	Notes	2014-15 Budget \$'000	2014-15 Actual \$'000	Variance \$'000	Variance % of Budget
Income					
User charges and fees		2,263	2,600	337	15%
Grants and other contributions		16,910	18,605	1,695	10%
Interest	1	25,144	28,109	2,965	12%
Other revenue	2	19,803	27,431	7,628	39%
Total income		64,120	76,745	12,625	20%
Expenses					
Employee expenses		8,985	9,385	400	4%
Supplies and services:					
- Other supplies and services		2,936	3,332	396	13%
Grants and subsidies		7,688	9,916	2,228	29%
Depreciation and amortisation		361	692	331	92%
Finance/borrowing costs	3	20,836	27,997	7,161	34%
Losses on sale/revaluation of assets		158	974	816	516%
Total expenses		40,964	52,295	11,331	28%
Operating Surplus/(Deficit)		23,156	24,450	1,294	6%

Notes

to the financial statements 2014-15

Note 24. Budget vs Actual Comparison (Continuation)

Statement of Financial Position

	Notes	2014-15 Budget \$'000	2014-15 Actual \$'000	Variance \$'000	Variance % of Budget
Current assets					
Cash assets	4	56,458	227,090	170,632	302%
Receivables	5	49,593	42,072	(7,521)	(15%)
Other		37	102	65	176%
Total current assets		106,088	269,264	163,176	154%
Non-current assets					
Receivables	5	473,705	403,054	(70,651)	(15%)
Property, plant and equipment		705	698	(7)	(1%)
Intangibles		3,618	486	(3,132)	(87%)
Total non-current assets		478,028	404,238	(73,790)	(15%)
Total assets		584,116	673,502	89,386	15%
Current liabilities					
Payables		323	253	(70)	(22%)
Accrued employee benefits		1,902	2,454	552	29%
Interest-bearing liabilities	6	28,549	130,225	101,676	356%
Other		1,559	6,094	4,535	291%
Total current liabilities		32,333	139,027	106,694	330%
Non-current liabilities					
Payables		-	-	-	-
Accrued employee benefits		195	136	(59)	(30%)
Interest-bearing liabilities	6	219,412	211,495	(7,917)	(4%)
Provisions		219	219	-	-
Total non-current liabilities		219,826	211,850	(7,976)	(4%)
Total liabilities		252,159	350,877	98,718	39%
Net Assets/(liabilities)		331,957	322,625	(9,332)	(3%)
Equity					
Capital/contributed equity		137,652	137,652	-	-
Accumulated surplus/(accumulated deficit)		194,305	184,973	(9,332)	(5%)
Reserves:					
- Asset revaluation surplus		-	-	-	-
- Other (specify)		-	-	-	-
Total Equity		331,957	322,625	(9,332)	(3%)

Notes

to the financial statements 2014-15

Note 2. Budget vs Actual Comparison (Continuation)

Statement of cash flows

		2014-15 Budget \$'000	2014-15 Actual \$'000	Variance \$'000	Variance % of Budget
Notes					
Cash flows from operating expenses					
Inflows					
		2,110	5,412	3,302	156%
		16,910	18,605	1,695	10%
		25,143	28,198	3,055	12%
		5	2,303	2,298	45959%
Outflows					
		(8,985)	(9,271)	(286)	(3%)
		(2,911)	(3,968)	(1,057)	(36%)
		(7,688)	(9,916)	(2,228)	(29%)
		(7,064)	(7,741)	(677)	(10%)
		17,520	23,622	6,102	35%
Cashflows from investing activities					
Inflows					
		103	169	66	64%
	7	65,671	86,954	21,283	32%
Outflows					
		(2,009)	(361)	1,648	82%
	8	(133,461)	(142,741)	(9,280)	(7%)
		(69,696)	(55,980)	13,716	20%
Cashflows from financing activities					
Inflows					
	9	51,000	132,185	81,185	159%
Outflows					
	10	(29,353)	(38,984)	(9,631)	(33%)
		21,647	93,201	71,554	331%
		(30,529)	60,843	91,372	299%
Cash at the beginning of financial year					
		86,987	166,246	79,259	91%
Cash at end of financial year					
		56,458	227,090	170,632	302%

Notes

to the financial statements 2014-15

Note 24. Budget vs Actual Comparison (Continuation)

Explanations of Major Variances

Overall Comments

As a specialist administrator of financial assistance programs on behalf of various government agencies, QRAA often steps up to deliver new programs that are announced after QRAA's annual budget has been finalised. This can have a significant impact on QRAA's financial results.

For new concessional loan programs, QRAA borrows money from the program owner, invests the cash temporarily until it is advanced to successful applicants, collects repayments of principal and interest from applicants, and remits principal and interest repayments back to the program owner.

QRAA's budget for 2014-15 was approved by the Board in April 2014. The following major programs were approved after this date:

Financial Assistance Program	Loans/ Grants	Date approved	Program Owner	Balances affected
Drought Concessional Loans Scheme	Loans	June 2014	Commonwealth Government	• Borrowing Costs • Loans and advances redeemed • Loans and advances made • Cash Assets • Receivables • Borrowings/ Interest Bearing Liabilities • Borrowing redemptions
Drought Recovery Concessional Loans Scheme	Loans	January 2015	Commonwealth Government	As for the Drought Concessional Loans Scheme

1. The increase is largely due to higher interest rates on cash deposits than budgeted. QRAA earned \$6.640 million of interest in 2014-15 as compared to a budget of \$2.680 million. This was largely attributable to the following factors:
 - \$2.200 million resulting from higher than budgeted interest rates. The budgeted interest rate was 3.4% while the actual interest rates on various cash investments ranged from 2.5% to 3.8%.
 - QRAA also earned \$1.760 million of interest on un-budgeted cash deposits relating to the Drought Concessional Loans Scheme and Drought Recovery Concessional Loans Scheme. However, this was passed back to the Commonwealth Government and recorded as both interest income and additional borrowing costs.
2. The increase of \$7.628 million in Other Revenue is largely attributable to \$14.890 million of fair value gains relating to borrowings at concessional interest rates received from the Commonwealth Government as part of the Drought Concessional Loans Scheme and the Drought Recovery Concessional Loans Scheme, a program adopted after the budget was approved. This was partially offset by \$9.440 million of fair value adjustments resulting from clients' early loan repayment of \$42.550 million across various programs during 2014-2015.
3. The increase of \$7.161 million in Finance Costs is largely attributable to:
 - \$2.512 million of additional interest payable to the Commonwealth Government in relation to \$85 million of new borrowings to fund the un-budgeted concessional loan programs mentioned in "Overall Comments" above; and
 - \$6.115 million of amortisation of concessional borrowings discount in relation to the un-budgeted concessional loan programs mentioned in "Overall Comments" above.

Notes

to the financial statements 2014-15

Note 24. Budget vs Actual Comparison (Continuation)

4. The \$170.632 million increase in Cash Assets is largely attributable to the following factors:
 - The opening cash balance as of 1 July 2014 was \$79.260 million higher than expected when the 2014-15 budget was finalised in April 2014; and
 - \$85 million of new borrowings to fund the un-budgeted concessional programs.
5. The \$78.172 million decrease in current and non-current receivables is largely attributable to the following factors:
 - The opening receivables balance was \$37.520 million lower than expected as of 1 July 2014 due to loans issued in April, May and June 2014 being lower than expected; and
 - QRAA's borrowers made \$42.550 million of un-expected early repayments of loans across various programs during 2014-15.
6. The \$93.759 million net increase in current and non-current interest bearing liabilities is largely attributable to the following factors:
 - \$85.000 million of additional program funding received for the Drought Concessional Loans Scheme and Drought Recovery Concessional Loans Scheme; and
 - The opening interest bearing liabilities balance was \$37.190 million higher than expected as of 1 July 2014 due to new concessional loans programs.
7. The \$21.283 million increase in Loans and Advances Redeemed was largely attributable to the following factors:
 - QRAA's borrowers made \$42.550 million of un-expected early repayments of loans across various programs during 2014-15; offset by
 - \$21.940 million of under-subscribed loan funding that was repaid to the Commonwealth Government.
8. The \$9.280 million increase in Loans and Advances Made was largely attributable to the following factors:
 - Actual lending for programs that were included in the budget was \$55.000 million less than budget; offset by
 - Unbudgeted lending for the Drought Concessional Loans Scheme and Drought Recovery Concessional Loans Scheme was \$64.370 million.
9. The \$81.185 million increase in Borrowing Cash Inflows was largely attributable to the fact that QRAA received \$85.000 million of funds under the Drought Concessional Loans Scheme and Drought Concessional Loans Schemes.
10. The \$9.631 million increase in Borrowing redemptions was largely attributable to:
 - QRAA having repaid \$21.904 million of funds to the Commonwealth Government; offset by
 - QRAA's budget for repayments of borrowings relating to historical schemes was \$12.890 million higher than the actual repayments made during the year. This was due to QRAA's practice, which is to make conservative assumptions regarding the timing of repayments of borrowings from other Government agencies.

Certificate of QRAA

These general purpose financial statements have been prepared pursuant to section 62(1) of the *Financial Accountability Act 2009* (the Act), section 43 of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

- (a) the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and
- (b) the statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRAA for the financial year ended 30 June 2015 and of the financial position of QRAA at the end of that year; and
- (c) these assertions are based on an appropriate system of internal controls and risk management processes being effective, in all material respects, with respect to financial reporting throughout the reporting period.

original signed

W S CARLSON
Chairperson

original signed

C MACMILLAN
Chief Executive Officer

Dated: 25 August 2015

original signed

D WARBY
Chairperson – Audit and Risk Management Committee

original signed

A CRANSWICK
Senior Manager Finance

Independent Auditor's report

To the Board of QRAA

Report on the Financial Report

I have audited the accompanying financial report of QRAA, which comprises the statement of financial position as at 30 June 2015, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, notes comprising a summary of significant accounting policies and other explanatory information, and certificates given by the Chairperson, Chief Executive Officer, Chairperson Audit and Risk Management Committee and Senior Manager Finance.

The Board's Responsibility for the Financial Report

The Board is responsible for the preparation of the financial report that gives a true and fair view in accordance with prescribed accounting requirements identified in the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, including compliance with Australian Accounting Standards. The Board's responsibility also includes such internal control as the Board determines is necessary to enable the preparation of the financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on the financial report based on the audit. The audit was conducted in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. Those standards require compliance with relevant ethical requirements relating to audit engagements and that the audit is planned and performed to obtain reasonable assurance about whether the financial report is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial report that gives a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control, other than in expressing an opinion on compliance with prescribed requirements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial report including any mandatory financial reporting requirements approved by the Treasurer for application in Queensland.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Independence

The *Auditor-General Act 2009* promotes the independence of the Auditor General and all authorised auditors. The Auditor-General is the auditor of all Queensland public sector entities and can be removed only by Parliament.

The Auditor-General may conduct an audit in any way considered appropriate and is not subject to direction by any person about the way in which audit powers are to be exercised. The Auditor-General has for the purposes of conducting an audit, access to all documents and property and can report to Parliament matters which in the Auditor-General's opinion are significant.

Opinion

In accordance with s.40 of the *Auditor-General Act 2009* –

- (a) I have received all the information and explanations which I have required; and
- (b) in my opinion –
 - (i) the prescribed requirements in relation to the establishment and keeping of accounts have been complied with in all material respects; and
 - (ii) the financial report presents a true and fair view, in accordance with the prescribed accounting standards, of the transactions of QRAA for the financial year 1 July 2014 to 30 June 2015 and of the financial position as at the end of that year.

Other Matters - Electronic Presentation of the Audited Financial Report

Those viewing an electronic presentation of these financial statements should note that audit does not provide assurance on the integrity of the information presented electronically and does not provide an opinion on any information which may be hyperlinked to or from the financial statements. If users of the financial statements are concerned with the inherent risks arising from electronic presentation of information, they are advised to refer to the printed copy of the audited financial statements to confirm the accuracy of this electronically presented information.

original signed

N GEORGE CPA
as Delegate of the Auditor-General of Queensland

Queensland Audit Office
Brisbane

Glossary

Board of Directors

QRAA is governed by a Board of Directors which is formally accountable to the Minister for Agriculture and Fisheries and Minister for Sport and Racing.

Customer Service Officer

Member of QRAA's Customer Relations Unit.

Code of Conduct

The government and our clients expect QRAA to deliver its services with integrity, professionalism and accountability. The Code of Conduct outlines how such an outcome is to be achieved.

DCLS

Drought Concessional Loans Scheme (Queensland). This program is funded by the Australian Government and delivered by QRAA.

DRCLS

Drought Recovery Concessional Loans Scheme (Queensland). This program is funded by the Australian Government and delivered by QRAA.

Farm Business

For the purposes of the Farm Finance Concessional Loans scheme, a Farm Business is a business that:

- a) operates as a sole trader, trust, partnership or private company; and
- b) is involved within the agricultural, horticultural, pastoral, apicultural or aquacultural industries; and
- c) is wholly located in Australia; and
- d) is registered for tax purposes in Australia with an Australian Business Number (ABN) and is registered for GST; and
- e) is not a public company under the meaning of *Corporations Act 2001* (Cth).

FFCLS

Farm Finance Concessional Loans Scheme (Queensland). This program is funded by the Australian Government and delivered by QRAA.

LGAS

Loan and Grant Administration System. Proposed technology solution to replace QRAA's existing RAPID system.

LGAS Project Team

Temporary project team established to progress proposed procurement of a new Loans and Grant Administration System.

NDRRA

Natural Disaster Relief and Recovery Arrangements. NDRRA is a joint Australian/State Government program that enables the provision of grant and loan assistance to disaster affected primary producers, businesses and non-profit organisations.

PIPES

Queensland Government's Primary Industry Productivity Enhancement Scheme.

Productivity Loans

First Start and/or Sustainability Loan currently available under the Queensland Government's Primary Industry Productivity Enhancement Scheme.

Program owner

Government agency / departmental representative which has engaged QRAA to deliver specialist financial administrative services on its behalf.

PPE

Personal Protective Equipment.

SET

Senior Executive Team. An oversight group consisting of the Chief Executive Officer and the General Manager, Program Delivery Services and General Manager, Corporate Strategy and Support.

Significant Financial Impact

For the purposes of the Drought Concessional Loans scheme, significant financial impact means an adverse financial impact on a farm business that must occur over at least a two year period, and can include the forthcoming season. Evidence that the farm business is experiencing a significant financial impact may include:

- large reductions in the farm business's net cash flow
- large reductions in production and/or yields
- large reductions in operating margins (the percentage margin of farm receipts over farm operating expenses)
- increases in drought-related operating expenses, particularly fodder and agistment expenditure
- large reductions in livestock numbers through forced sales or losses.

Attachment A - Compliance checklist

Summary of requirement		Basis for requirement	Annual Report reference
Letter of compliance	A letter of compliance from the accountable officer or statutory body to the relevant Minister	ARRs – section 8	Page 1
Accessibility	Table of contents	ARRs – section 10.1	Page 2
	Glossary	ARRs – section 10.1	Page 52
	Public availability	ARRs – section 10.2	Page 1
	Interpreter service statement	<i>Queensland Government Language Services Policy</i> ARRs – section 10.3	Page 1
	Copyright notice	<i>Copyright Act 1968</i> ARRs – section 10.4	Page 1
	Information licensing	<i>QGEA – Information Licensing</i> ARRs – section 10.5	N/A
General information	Introductory information	ARRs – section 11.1	Page 3
	Agency role and main functions	ARRs – section 11.2	Page 5
	Operating environment	ARRs – section 11.3	Page 5
	Machinery of government changes	ARRs – section 11.4	Page 3
Non-financial performance	Government's objectives for the community	ARRs – section 12.1	Page 3
	Other whole-of-government plans / specific initiatives	ARRs – section 12.2	N/A
	Agency objectives and performance indicators	ARRs – section 12.3	Pages 12, 13
	Agency service areas, and service standards	ARRs – section 12.4	Pages 12, 13
Financial performance	Summary of financial performance	ARRs – section 13.1	Pages 16
Governance – management and structure	Organisational structure	ARRs – section 14.1	Page 6
	Executive management	ARRs – section 14.2	Page 6, 7
	Government bodies (statutory bodies and other entities)	ARRs – section 14.3	N/A
	<i>Public Sector Ethics Act 1994</i> (Qld)	<i>Public Sector Ethics Act 1994</i> (section 23 and Schedule) ARRs – section 14.4	Page 9
	Queensland public service values	ARRs – section 14.5	
Governance – risk management and accountability	Risk management	ARRs – section 15.1	Page 8
	External scrutiny	ARRs – section 15.2	Page 8, 9
	Audit committee	ARRs – section 15.3	Page 7
	Internal audit	ARRs – section 15.4	Page 8
	Information systems and recordkeeping	ARRs – section 15.5	Page 9
Governance – human resources	Workforce planning and performance	ARRs – section 16.1	Page 11
	Early retirement, redundancy and retrenchment	Directive No.11/12 <i>Early Retirement, Redundancy and Retrenchment</i> ARRs – section 16.2	N/A
Open Data	Open Data	ARRs – section 17	Page 10

Summary of requirement (continued)		Basis for requirement	Annual Report reference
Financial statements	Certification of financial statements	FAA – section 62 FPMS – sections 42, 43 and 50 ARRs – section 18.1	Page 50
	Independent Auditors Report	FAA – section 62 FPMS – section 50 ARRs – section 18.2	Page 51
	Remuneration disclosures	<i>Financial Reporting Requirements for Queensland Government Agencies</i> ARRs – section 18.3	Page 44

FAA *Financial Accountability Act 2009 (Qld)*

FPMS *Financial and Performance Management Standard 2009 (Qld)*

ARRs *Annual report requirements for Queensland Government agencies*

